

Texas Complaints Notice

Have a complaint or need help?

If you have a problem with a claim or your premium, call your insurance company or HMO first. If you can't work out the issue, the Texas Department of Insurance may be able to help.

Even if you file a complaint with the Texas Department of Insurance, you should also file a complaint or appeal through your insurance company or HMO. If you don't, you may lose your right to appeal.

risksmith Insurance Services, LLC

To get information or file a complaint with your insurance company or HMO:

Call: CEO-Ryan Scheinfeld at 727-601-5900

Toll-free: N/A

[Optional] Online: N/A

Email: ryan.scheinfeld@risksmithuw.com

Mail: 8270 Grogans Ferry Road Atlanta, GA 30350

The Texas Department of Insurance

To get help with an insurance question or file a complaint with the state:

Call with a question: 1-800-252-3439

File a complaint: www.tdi.texas.gov

Email: ConsumerProtection@tdi.texas.gov

Mail: Consumer Protection, MC: CO-CP, Texas Department of Insurance, PO Box 12030, Austin, TX 78711-2030

¿Tiene una queja o necesita ayuda?¹

Si tiene un problema con una reclamación o con su prima de seguro, llame primero a su compañía de seguros o HMO. Si no puede resolver el problema, es posible que el Departamento de Seguros de Texas (Texas Department of Insurance, por su nombre en inglés) pueda ayudar.

Aun si usted presenta una queja ante el Departamento de Seguros de Texas, también debe presentar una queja a través del proceso de quejas o de apelaciones de su compañía de seguros o HMO. Si no lo hace, podría perder su derecho para apelar.

¹ A Spanish version of the notice must be included for personal automobile, homeowners, and accident and health policies, binders, certificates, and evidences of coverage.

risksmith Insurance Services, LLC

Para obtener información o para presentar una queja ante su compañía de seguros o HMO:

Llame a: CEO-Ryan Scheinfeld al 727-601-5900

Teléfono gratuito: N/A

[Optional] En línea: N/A

Correo electrónico: ryan.scheinfeld@risksmithuw.com

Dirección postal: 8270 Grogans Ferry Road Atlanta, GA 30350

El Departamento de Seguros de Texas

Para obtener ayuda con una pregunta relacionada con los seguros o para presentar una queja ante el estado:

Llame con sus preguntas al: 1-800-252-3439

Presente una queja en: www.tdi.texas.gov

Correo electrónico: ConsumerProtection@tdi.texas.gov

Dirección postal: Consumer Protection, MC: CO-CP, Texas Department of Insurance,
PO Box 12030, Austin, TX 78711-2030

LMA9080E

16 June 2023

TEXAS SURPLUS LINES NOTICE

This insurance contract is with an insurer not licensed to transact insurance in this state and is issued and delivered as surplus line coverage under the Texas insurance statutes. The Texas Department of Insurance does not audit the finances or review the solvency of the surplus lines insurer providing this coverage, and the insurer is not a member of the property and casualty insurance guaranty association created under Chapter 462, Insurance Code. Chapter 225, Insurance Code, requires payment of a (insert appropriate tax rate) percent tax on gross premium.

01/09/13

LMA9079

Certificate

Certain Underwriters at Lloyd's led by Managing Agent Risksmith Insurance Services, LLC

Syndicate MS Amlin Syndicate 2001 under agreement B1306C501482500

Syndicate Dale Syndicate 1729 under agreement B1306C501482500

Syndicate MAP Syndicate 2791 under agreement B1306C501482500

Syndicate IQUW Syndicate 1856 under agreement B1306C501482500

Syndicate QBE Syndicate 1886 under agreement B1306C501482500

Syndicate WRB Syndicate 1967 under agreement B1306C501482500

Syndicate Axis Syndicate 1686 under agreement B1306C501882500

Syndicate Munich Re Syndicate 0457 under agreement B1306C503452500

Syndicate Ascot Syndicate 1414 under agreement B1306C501792500

Syndicate Munich Specialty under agreement B1097 ABI 25 1018

This Insurance is effected with various carriers as per attached Carrier Support Page.

This Certificate is issued in accordance with the limited authorization granted to the Correspondent by certain Underwriters at Lloyd's, London whose syndicate numbers and the proportions underwritten by them can be ascertained from the office of the said Correspondent (such Underwriters being hereinafter called "Underwriters") and in consideration of the premium specified herein, Underwriters hereby bind themselves severally and not jointly, each for his own part and not one for another, their Executors and Administrators.

The Assured is requested to read this Certificate, and if it is not correct, return it immediately to the Correspondent for appropriate alteration.

All inquiries regarding this Certificate should be addressed to the following Correspondent:

Risksmith Insurance Services, LLC.
8270 Grogan's Ferry Road Atlanta, GA 30350

CERTIFICATE PROVISIONS

1. **Signature Required.** This Certificate shall not be valid unless signed by the Correspondent on the attached Declaration Page.
2. **Correspondent Not Insurer.** The Correspondent is not an Insurer hereunder and neither is nor shall be liable for any loss or claim whatsoever. The Insurers hereunder are those Underwriters at Lloyd's, London whose syndicate numbers can be ascertained as hereinbefore set forth. As used in this Certificate "Underwriters" shall be deemed to include incorporated as well as unincorporated persons or entities that are Underwriters at Lloyd's, London.
3. **Cancellation.** If this Certificate provides for cancellation and this Certificate is cancelled after the inception date, earned premium must be paid for the time the insurance has been in force.
4. **Service of Suit.** Refer to Service of Suit form attached to this policy.
5. **Assignment.** This Certificate shall not be assigned either in whole or in part without the written consent of the Correspondent endorsed hereon.
6. **Attached Conditions Incorporated.** This Certificate is made and accepted subject to all the provisions, conditions and warranties set forth herein, attached or endorsed, all of which are to be considered as incorporated herein.
7. **Short Rate Cancellation.** If the attached provisions provide for cancellation, the table below will be used to calculate the short rate proportion of the premium when applicable under the terms of cancellation.



Risksmith Insurance Services Declaration Page Premier Homebuilders

NAMED INSURED & MAILING ADDRESS

VMP Lockhart Properties, LLC
5001 Plaza on the Lake
Suite 200
Austin, TX 78746

PRODUCER'S NAME & MAILING ADDRESS

AGT0021
Brown & Riding - Seattle
600 University Street
Suite 3000
Seattle, WA 98101

POLICY NUMBER

25-CHB-0069

RENEWAL POLICY NUMBER : 24-CHB-0090**CARRIER**

Various as per Carrier Participation Page

POLICY FORM

risksmith Premier Homebuilders Form (06012021)

POLICY PERIOD

09/30/2025 TO 09/30/2026

Both Dates at 12:01 a.m Local standard Time at the mailing address of the Insured.

TIV for Rating Purposes

\$1,362,956

PROPERTY COVERED

Single family and multifamily homes

COVERED LOCATIONS

Per SOV on file with Company

Schedule of Forms Applicable to this Policy

LMA 9080E 06/23	Texas Complaints Notice (Surplus Lines)
LMA 9079 09/13	Texas Surplus Lines Notice
NMA 2868 PHB 07/2025	SLC-3 Certificate
rsDecphb 01/2022	risksmith Insurance Services Declarations Page
SCH 01/2022	PHB Schedule of Coverage
rsCS 09/2025	Carrier Support Page
rsCIA 0003 08/2024	Carrier Information Appendix
rsIMSOS 0004 09/2025	risksmith Inland Marine Service of Suit(s)
rsHB 07/2022	Premier Homebuilders Coverage Form
IL P 001 01/04	U.S. Treasury Departments Office of Foreign Assets Control ("OFAC")
LMA 5018 09/05	Microorganism Exclusion
LMA 5019 09/05	Asbestos Endorsement
LMA 5096 03/08	Several Liability Clause (Combined Certificates)
LMA 5393 03/20	Communicable Disease Endorsement
LMA 5401 11/19	Property Cyber and Data Exclusion
USA MEP 07/2019	USA Hurricane Minimum Earned Premium
LSW 1135B 06/03	Lloyd's Privacy Policy Statement
NMA 2341 11/88	USA Land, Water and Air Exclusion Endorsement
NMA 2802 12/97	Electronic Date Recognition Exclusion (EDRE)
NMA 2918 10/01	War and Terrorism Exclusion
Claims Notice (CR) 07/2025	Claims Notification (Crawford)
Complaints Notice 08/2025	Complaint Notification
NWC 1001 04/22	Windstorm Counties Tier 1 & 2
LMA 5390 01/20	U.S. Terrorism Risk Insurance Act of 2002 as amended Not Purchased Clause
PN CW 01 0123 01/23	Fraud Warning Notice
PN CW 02 0119 01/19	AXA XL Insurance Group Privacy Policy
LMA 5393 AXA 06/23	Communicable Disease Exclusion
rsWDD 2011 06/2023	Water Damage Deductible Endorsement
rsWHITE 2013 03/2025	Wind/Hail/Tornado Revised Endorsement

DEPOSIT PREMIUM	\$25,000.00	MODELING FEE	\$0.00
OPTIONAL TRIA PREMIUM	Rejected	POLICY FEE	\$500.00
INSPECTION FEE	\$0.00		
MINIMUM EARNED PREMIUM	100.00%		

Premium	\$25,000.00
Broker Fee	\$0.00
Policy Fee	\$500.00
Inspection Fee	\$0.00
SL Tax	\$1,236.75
Stamping Fee	\$10.20
Total	\$26,746.95

****PRODUCER is responsible for calculating and remitting all Surplus Lines Taxes and fees to appropriate State Authority.**

Authorized Signature

PREMIER HOMEBUILDERS SCHEDULE OF COVERAGES

APPLICABLE COVERAGE PARTS

Premier Homebuilders Risk Coverage	Included
Premier Homebuilders Risk Delay in Completion Coverage	Included
Premier Homebuilders Property Coverage	Excluded
Premier Homebuilders Income Coverage	Excluded

SCHEDULE OF JOBSITES

<u>Location</u>	<u>Construction Type</u>	<u>Description of Covered Property</u>
Per the SOV on file with Company	Frame	Single Family and Multifamily Homes

BUILDERS RISK COVERAGE

Subject also to all of the Limits and Sublimits described herein, the Company's per Occurrence liability shall not exceed: \$2,500,000

Subject also to other specific deductibles herein, the minimum deductible for a loss shall be: \$25,000

<u>Coverage</u>	<u>Limit</u>	<u>Deductible</u>
A. Course of Construction Limit - The most "we" pay for loss to any one "building or structure"	\$250,000	\$25,000
B. At any temporary storage location not specified as a "jobsite"	\$1,000,000	\$100,000
C. Any one loss with respect to covered property in transit	Not Covered	N/A
D. On-site Equipment - the most "we" pay for loss to "On-site Equipment" in any one occurrence	\$100,000	\$25,000
Coinsurance	0%	

COVERAGE EXTENSIONS AND SUPPLEMENTAL COVERAGES

The "limit" for Coverage Extensions and Supplemental Coverages are shown in the Homebuilder's Coverage Form. If a different "limit" is shown below that "limit" will replace the "limit" in the Homebuilder's Coverage Form.

Debris Removal Expense - 25% of loss up to an additional	\$50,000	Accounts Receivable	\$100,000
Emergency Removal (# of days)	10	Consequential Loss	\$25,000
Emergency Removal Expense	\$100,000	Contract Penalty	\$100,000
Fraud and Deceit	\$25,000	Expediting Expenses	\$100,000
Free Standing Appliances	\$50,000	Fire Department Service Charges	\$100,000
Limited Fungus Coverage	\$15,000	Ordinance or Law (Undamaged)	\$1,000,000
Home Pending Sale	\$250,000	Ordinance or Law (Demo & ICC)	\$1,000,000
Model Homes	\$250,000	Pollutant Cleanup and Removal	\$25,000
Re-Erect Scaffolding	\$100,000	Recharge of Fire Extinguishing Eq.	\$50,000
Sales, Office and Tools Trailer(s)	\$100,000	Rewards	\$25,000
"Trade In", "Buy-Back" or "Unsold Properties"	\$250,000	Valuable Papers	\$100,000
Trees, Shrubs, Plants and Lawns	\$100,000		

This insurance contract is with an insurer not licensed to transact insurance in this state and is issued and delivered as surplus line coverage under the Texas insurance statutes. The Texas Department of Insurance does not audit the finances or review the solvency of the surplus lines insurer providing this coverage, and the insurer is not a member of the property and casualty insurance guaranty association created under Chapter 462, Insurance Code. Chapter 225, Insurance Code, requires payment of a 4.85 percent tax on gross premium.

ADDITIONAL COVERAGES

<u>Coverage</u>	<u>Limit</u>	<u>Deductible</u>
Testing/Mechanical Breakdown/Electrical Currents	\$100,000	\$25,000
Existing Building	Not Covered	N/A

If a Limit of Insurance is shown for the Additional Coverages above, the changes below hereby apply to the Premier Homebuilder's Coverage Form:

Testing, Mechanical Breakdown & Electrical Currents:

The following are deleted from Perils Excluded:

b.6. Testing - "We" do not pay for loss caused by performance, stress, pressure, or overload testing of materials, supplies machinery, fixtures, and equipment that will become a permanent part of a covered "building or structure".

c.3. Electrical Currents - "We" do not pay for loss or damage caused by or resulting from artificially generated electrical current, including electric arcing, that disturbs electrical devices, appliances, or wires.

c.4. Mechanical Breakdown - "We" do not pay for loss caused by a latent defect, mechanical breakdown, malfunction, or rupturing or bursting of moving parts of machinery caused by centrifugal force.

The most "We" pay in any one occurrence for loss resulting from any combination of Testing, Mechanical Breakdown, or Electrical Currents is outlined in the scheduled above.

Existing Building Coverage:

b. Under Property Not Covered is deleted.

The following is added to a. Under Covered Property:

"We" do provide coverage for Real Property, Machinery, Equipment and Fixtures which existed prior to the construction or Improvements, alterations, or repairs. However, "We" do not provide coverage for such Real Property, Machinery, Equipment and Fixtures that will be demolished or permanently removed in the course of construction of additions, alterations or repairs.

Specific to Existing Building Coverage; the Valuation will be as follows:

The value of the covered property will be the Actual Cash Value, exclusive of any artistic, antiquarian, landmark or historical value, as of the time of loss or damage.

ADDITIONAL PROVISIONS

Blanket Additional Insured/Loss Payee	Included
Unintentional Errors & Omissions	Included
Optional Reporting Conditions	Included

If selected above, the following Additional Provisions apply:

Blanket Additional Insured/Loss Payee/Mortgagee

Holders of a certificate of insurance issued against this policy as an Additional Insured, Loss Payee and/or Mortgagee are hereby added to the policy as their interest(s) may appear under a written agreement with you prior to any loss as respects the property covered under the policy.

Unintentional Errors or Omissions

It is agreed that your failure to disclose all hazards existing on the effective date of this policy shall not prejudice you with respect to the coverage afforded by this policy provided such failure or any omission is not intentional.

SOFT COST COVERAGE

Soft Costs:

30-Day Limit - The most "we" pay for additional soft costs in any 30-day period is:	<u>Limits</u> \$400,000
Occurrence Limit - The most "we" pay in any one occurrence for additional soft cost is:	\$400,000

Soft Costs are limited to the following soft costs as described in the Soft Costs Coverage Part:

- Advertising - Design Fees - Financing - Insurance Premiums - Lease Administration - Lease Expenses - Permit Fees - Professional Fees - Reality Taxes

Rental Income:

30-Day Limit - The most "we" pay for loss of rental income in any 30-day period is:	<u>Limits</u> Not Covered
Occurrence Limit - The most "we" pay in any one occurrence for loss of rental income is:	Not Covered

Income Coverage:

30-Day Limit - The most "we" pay for loss of income in any 30-day period is:	Not Covered
Occurrence Limit - The most "we" pay in any one occurrence for loss of income is:	Not Covered

OPTIONAL SEWER BACKUP COVERAGE

The most "we" pay in any one occurrence for loss caused by sewer backup is:	\$50,000
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COVERAGE EXTENSIONS

Expenses to reduce a loss	Coverage Provided	
Interruption by Civil Authority	2	Weeks
Limited Fungus Coverage	30	Days

SUPPLEMENTAL COVERAGE

General Administration Expenses	\$50,000
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WAITING PERIOD

Number of Days	30
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PREMIER HOMEBUILDERS SPECIAL PERILS
FLOOD

<u>Coverage</u>	<u>Limit</u>	<u>Deductible</u>	
The most "we" pay for loss in any one occurrence and in any 12 month period within a 100-year flood zone as designated by FEMA is:	Not Covered	N/A	%
		Subject to	
		N/A	
		Minimum	
The most "we" pay for loss in one occurrence and in any 12 month period within All other flood zones as designated by FEMA is:	\$2,500,000	N/A	%
		Subject to	
		\$50,000	
		Minimum	

EARTH MOVEMENT & VOLCANIC ACTION

<u>Coverage</u>	<u>Limit</u>	<u>Deductible</u>	
The most "we" pay for loss in one occurrence and in any 12 month period in the states of California, Alaska, Hawaii, and Puerto Rico is:	Not Covered	N/A	%
		Subject to	
		N/A	
		Minimum	
The most "we" pay for loss in any one occurrence and in any 12 month period in all other states is:	\$2,500,000	N/A	%
		Subject to	
		\$25,000	
		Minimum	

NAMED WINDSTORM

<u>Coverage</u>	<u>Limit</u>	<u>Deductible</u>	
The most "we" pay for loss in any one occurrence in the Tier 1 Windstorm Counties identified below is:	Not Covered	N/A	%
		Subject to	
		N/A	
		Minimum	
The most "we" pay for loss in any one occurrence outside the Tier 1 Windstorm counties identified below is:	\$2,500,000	3	%
		Subject to	
		\$100,000	
		minimum	

PREMIER HOMEBUILDERS - PREMIUM/RATES/REPORTING

<u>Location or State</u>	<u>Covered Property</u>	<u>Peril</u>	<u>Construction Type</u>	<u>Rate</u>
All as reported - Lockhart, TX	As reported	All Covered Perils	Frame	\$0.040

REPORTING

Reporting Period Monthly
Adjustment Period Monthly

****Adhering to the reporting provisions of the policy dictates coverage and locations not reported are considered not covered.***

Late reports (over 30 days past due date) are a breach of the policy conditions and may result in restriction of coverage and/or policy cancellation.

REPORTING REQUIREMENTS

100% Completed Value of all Buildings and Structures under construction	Applicable
100% Replacement cost value of all Homes Pending Sale	Applicable
100% Replacement cost value of all Model Homes and their contents	Applicable
100% Replacement cost value of all Sales and Office and Tool Trailers including contents at covered jobsites	Applicable
100% Replacement cost value of all "Trade In", "Buy-Back" or "Unsold Properties"	Applicable
100% Replacement cost value of Existing Buildings	Not Applicable
Total Annual Sales	Not Applicable
New Home Starts	Not Applicable

Carrier Support Page

NAMED INSURED VMP Lockhart Properties, LLC
RISKSMITH POLICY # 25-CHB-0069
POLICY EFFECTIVE DATES 09/30/2025 - 09/30/2026

The coverage described in this policy is provided by the insurance carriers listed below; each for their share on a several and not joint basis.

LIMITS OF LIABILITY:

Carrier Designation	A	B	C	D	E	F
AOP						
Attachment Point	\$0	\$0	\$0	\$0	\$0	\$0
Detachment Point	\$2,500,000	\$2,500,000	\$2,500,000	\$2,500,000	\$2,500,000	\$2,500,000
% Share of Risk	15.600%	12.997%	11.346%	7.741%	9.675%	13.313%
Windstorm						
Attachment Point	\$0	\$0	\$0	\$0	\$0	\$0
Detachment Point	\$2,500,000	\$2,500,000	\$2,500,000	\$2,500,000	\$2,500,000	\$2,500,000
% Share of Risk	15.600%	12.997%	11.346%	7.741%	9.675%	13.313%
Earthquake						
Attachment Point	\$0	\$0	\$0	\$0	\$0	\$0
Detachment Point	\$2,500,000	\$2,500,000	\$2,500,000	\$2,500,000	\$2,500,000	\$2,500,000
% Share of Risk	15.600%	12.997%	11.346%	7.741%	9.675%	13.313%
Flood						
Attachment Point	\$0	\$0	\$0	\$0	\$0	\$0
Detachment Point	\$2,500,000	\$2,500,000	\$2,500,000	\$2,500,000	\$2,500,000	\$2,500,000
% Share of Risk	15.600%	12.997%	11.346%	7.741%	9.675%	13.313%

LIMITS OF LIABILITY (Continued):

Carrier Designation	G	H	I	J	K	L
AOP						
Attachment Point	\$0	\$0	\$0	n/a	n/a	n/a
Detachment Point	\$2,500,000	\$2,500,000	\$2,500,000	n/a	n/a	n/a
% Share of Risk	11.913%	3.870%	13.545%	n/a	n/a	n/a
Windstorm						
Attachment Point	\$0	\$0	\$0	n/a	n/a	n/a
Detachment Point	\$2,500,000	\$2,500,000	\$2,500,000	n/a	n/a	n/a
% Share of Risk	11.913%	3.870%	13.545%	n/a	n/a	n/a
Earthquake						
Attachment Point	\$0	\$0	\$0	n/a	n/a	n/a
Detachment Point	\$2,500,000	\$2,500,000	\$2,500,000	n/a	n/a	n/a
% Share of Risk	11.913%	3.870%	13.545%	n/a	n/a	n/a
Flood						
Attachment Point	\$0	\$0	\$0	n/a	n/a	n/a
Detachment Point	\$2,500,000	\$2,500,000	\$2,500,000	n/a	n/a	n/a
% Share of Risk	11.913%	3.870%	13.545%	n/a	n/a	n/a

Carrier Support Page

LIMITS OF LIABILITY (Continued):

Carrier Designation	M	N	O	P	Q	R
AOP						
Attachment Point	n/a	n/a	n/a	n/a	n/a	n/a
Detachment Point	n/a	n/a	n/a	n/a	n/a	n/a
% Share of Risk	n/a	n/a	n/a	n/a	n/a	n/a
Windstorm						
Attachment Point	n/a	n/a	n/a	n/a	n/a	n/a
Detachment Point	n/a	n/a	n/a	n/a	n/a	n/a
% Share of Risk	n/a	n/a	n/a	n/a	n/a	n/a
Earthquake						
Attachment Point	n/a	n/a	n/a	n/a	n/a	n/a
Detachment Point	n/a	n/a	n/a	n/a	n/a	n/a
% Share of Risk	n/a	n/a	n/a	n/a	n/a	n/a
Flood						
Attachment Point	n/a	n/a	n/a	n/a	n/a	n/a
Detachment Point	n/a	n/a	n/a	n/a	n/a	n/a
% Share of Risk	n/a	n/a	n/a	n/a	n/a	n/a

CARRIER DESIGNATION AND PREMIUM ALLOCATION:

Carrier Designation	Writing Company	Syndicate	UMR	Premium Attributable	
A	Certain Underwriters at Lloyd's	AML2001-PHB 2024	B1306C501482500	15.60%	\$3,900
B	Certain Underwriters at Lloyd's	QBE (QBE 1886) - Sec 1	B1306C501482500	13.00%	\$3,249
C	Certain Underwriters at Lloyd's	MAP (MAP 2791) - Sec 1	B1306C501482500	11.35%	\$2,837
D	Certain Underwriters at Lloyd's	Dale (Dale 1729) - Sec 1	B1306C501482500	7.74%	\$1,935
E	Certain Underwriters at Lloyd's	WR Berkley (WRB 1967) - Sec 2	B1306C501482500	9.68%	\$2,419
F	HDI Global Specialty SE – UK	N/A	B1306C502502500	13.31%	\$3,328
G	Certain Underwriters at Lloyd's	IQUW (IQU 1856) - Sec 1	B1306C501482500	11.91%	\$2,978
H	Indian Harbor Insurance Company	N/A	N/A	3.87%	\$968
I	Certain Underwriters at Lloyd's	MRSPHB (MRS 457) Sec 1	B1306C503452500	13.55%	\$3,386
J	n/a	n/a	n/a	n/a	n/a
K	n/a	n/a	n/a	n/a	n/a
L	n/a	n/a	n/a	n/a	n/a
M	n/a	n/a	n/a	n/a	n/a
N	n/a	n/a	n/a	n/a	n/a
O	n/a	n/a	n/a	n/a	n/a
P	n/a	n/a	n/a	n/a	n/a
Q	n/a	n/a	n/a	n/a	n/a
R	n/a	n/a	n/a	n/a	n/a

Carrier Policy Numbers if different than the Policy Number as displayed on the declarations page.

Munich REinsurance (Certain Underwriters at Lloyds)	n/a
Mt. Hawley Insurance Company	n/a
Accelerant/Hadron Specialty Insurance Company	n/a
Indian Harbor Insurance Company	RHB2000152-00
MSIG Specialty Insurance USA Inc	n/a



CARRIER INFORMATION APPENDIX

As set forth, the following list contains contact information of risksmith's writing companies. The Carrier Support Page will clearly reflect the participation of carriers pertaining to this policy.

Certain Underwriters at Lloyds

One Lime Street, London EC3M 7HA

Palms Specialty Insurance Company, Inc. or Palms Insurance Company, Limited

700 Universe Boulevard, Juno Beach FL 33408

Accelerant Insurance

400 Northridge Drive Suite 800, Sandy Springs GA 30350

Trisura Specialty Insurance Company

210 Park Avenue Suite 1300, Oklahoma City OK 73102

Sutton Specialty Insurance Company

110 E. Atlantic Ave., Suite 330 Delray Beach, FL 33444

Indian Harbor Insurance Company

677 Washington Blvd 10th Floor Suite 1000, Stamford CT 06901

HDI Global Specialty

20 Gracechurch Street, London EC3V 0BG

Dale DUAL MGU

6th Floor 6 Bevis Marks, London EC3A 7BA

Chubb European Group SE

100 Leadenhall Street, London EC3A 3 BP

IAT Insurance Group Inc.

702 Oberlin Road, Raleigh NC 27605

AXA XL Insurance Co. UK Limited

20 Gracechurch St, London EC3V 0BG, United Kingdom

Hadron Specialty Insurance Company

12600 Deerfield Pkwy, Suite 100, Alpharetta, GA 30004

This list is considered informational only. Participation of Carriers on this policy is reflected on the Carrier Support Page attached to this policy

Service of Suit Clause(s)

This Service of Suit Clause will not be read to conflict with or override the obligations of the parties to arbitrate their disputes as provided for in any Arbitration provision within this Policy. This Clause is intended as an aid to compelling arbitration or enforcing such arbitration or arbitral award, not as an alternative to such Arbitration provision for resolving disputes arising out of this contract of insurance (or reinsurance).

It is agreed that in the event of the failure of the Company hereon to pay any amount claimed to be due hereunder, the Company hereon, at the request of the Insured (or Reinsured), will submit to the jurisdiction of a Court of competent jurisdiction within the United States. Nothing in this Clause constitutes or should be understood to constitute a waiver of the Company's rights to commence an action in any Court of competent jurisdiction in the United States, to remove an action to a United States District Court, or to seek a transfer of a case to another Court as permitted by the laws of the United States or of any State in the United States. It is further agreed that service of process in such suit may be made upon:

In respect of coverage provided by Certain Underwriters at Lloyd's, contact for service of suit:

Lloyd's America, Inc. Attention: Legal Department 280 Park Avenue, East Tower, 25th Floor New York NY 10017

In respect of coverage provided by Chubb European Group SE, contact for Service of suit:

John N. Emmanuel, Partner, Locke Lord LLP Brookfield Place 200 Vesey Street, 20th Fl New York, NY 10281 T: 212-912-2879
F: 888-325-9085 john.emmanuel@lockelord.com

In respect of coverage provided by Trisura Specialty Insurance Company, contact for service of suit:

Michael Beasley; Trisura Specialty Insurance Company, 210 Park Avenue, Suite 1400, Oklahoma City, OK 73102-5636

In respect of coverage provided by Accelerant Specialty Insurance Co., contact for service of suit:

Att: Legal Counsel, Accelerant 400 Northridge Road Suite 800 Sandy Springs, GA 30350

In respect of coverage provided by Hadron Specialty Insurance Co., contact for service of suit:

Att: US General Counsel, Hadron Specialty Insurance Company, 12600 Deerfield Parkway, Suite 100 Alpharetta, GA 30004

In respect of Coverage provided by Palms Specialty Insurance Company, Inc or Palms Insurance Company, Limited, contact for service of suit: Att: General Counsel Palms Insurance Company, Limited 700 Universe Boulevard Juno Beach, FL 33408

In respect of any coverage provided by Dale Dual MGU Limited, contact for service of suit:

Wilkie Farr & Gallagher LLP, 787 Seventh Avenue New York, NY 10019-6099

In respect of Coverage provided by HDI Global Specialty, contact for service of suit:

Mendes & Mount, 750 Seventh Avenue, New York, NY 10019-6829, USA

In respect of coverage provided by Indian Harbor Insurance Company, contact for service of suit:

Sarah Mims General Counsel 505 Eagleview Boulevard, Suite 100 Exton, PA 19341-1120 unless risk is domiciled in:
California: Vivian Imperial c/o C T Corporation System 818 West 7th St, Suite 930 Los Angeles, CA 90017
Maine: CT Corporation System 128 State Street, #3 Augusta, ME 04330
Michigan: The Corporation Company 40600 Ann Arbor Road East Suite 201 Plymouth, MI 48170-4675
Rhode Island: CT Corporation System 450 Veterans Memorial Parkway Suite 7A East Providence, RI 02914
Vermont: CT Corporation System 17 G W Tatro Drive Jeffersonville, VT 05464-9919

In respect of coverage provided by Sutton Specialty Insurance Company, contact for service of suit:

Sutton Specialty Insurance company, ATTN: General Counsel, 110 E. Atlantic Ave., Suite 330 Delray Beach, FL 33444

In respect of coverage provided by MSIG Specialty Insurance Inc., contact for service of suit:

If the cause of action arises in any other state:
Corporation Service Company,
251 Little Falls Drive, Wilmington, DE 19808

If the cause of action arises in California:
CSC – Corporation Service Company 2710 Gateway Oaks Drive
Suite 150N Sacramento, CA 95833

If the cause of action arises in Washington:
Mitsui Sumitomo Marine Management (U.S.A.) Inc.
Attn: Claims Administration 15 Independence Blvd PO Box 4602
Warren, NJ 07059



and that in any suit instituted against any one of them upon this contract, the Company will abide by the final decision of such Court or of any Appellate Court in the event of an appeal. The above-named are authorized and directed to accept service of process on behalf of the Company in any such suit and/or upon the request of the Insured (or Reinsured) to have a written undertaking to the Insured (or Reinsured) that they will enter a general appearance upon the Company's behalf in the event such a suit shall be instituted.

Further, pursuant to any statute of any state, territory or district of the United States which makes provision therefore, the Company hereon hereby designates the superintendent, Commissioner or Director of Insurance or other officer specified for that purpose in the statute, or his successor or successors in office, as their true and lawful attorney upon whom may be served any lawful process in any action, suit or proceeding instituted by or on behalf of the Insured (or Reinsured) or any beneficiary hereunder arising out of this contract of insurance (or reinsurance), and hereby designate the above-named person to whom the said officer is authorized to mail such process or a true copy thereof.

AGREEMENT

In return for "your" payment of the required premium, "we" provide the coverage described herein subject to all the "terms" of the Premier Homebuilder's Coverage Form. This coverage is also subject to the "schedule of coverages" and additional policy conditions relating to assignment or transfer of rights or duties, cancellation, changes or modifications, inspections, and examination of books and records.

Endorsements and schedules may also apply. They are identified on the "schedule of coverages".

Refer to Definitions for words and phrases that have special meaning. These words and phrases are shown in quotation marks.

COMMON POLICY CONDITIONS

All Coverage Parts included in this policy are subject to the following conditions

1. Cancellation

a. The first Named Insured shown in the Declarations may cancel this policy by mailing or delivering to us advance written notice of cancellation.

b. We may cancel this policy by mailing or delivering to the first Named Insured written notice of cancellation at least:

1. 10 days before the effective date of cancellation if we cancel for nonpayment of premium; or
2. 30 days before the effective date of cancellation if we cancel for any other reason.

c. We will mail or deliver our notice to the first Named Insured's last mailing address known to us.

d. Notice of cancellation will state the effective date of cancellation. The policy period will end on that date.

e. If this policy is cancelled, we will send the first Named Insured any premium refund due. If we cancel, the refund will be pro rata. If the first Named Insured cancels, the refund may be less than pro rata. The cancellation will be effective even if we have not made or offered a refund.

f. If notice is mailed, proof of mailing will be sufficient proof of notice.

2. Changes

This policy contains all the agreements between you and us concerning the insurance afforded. The first Named Insured shown in the Declarations is authorized to make changes in the terms of this policy with our consent. This policy's terms can be amended or waived only by endorsement by us and made a part of this policy.

3. Examination of Your Books and Records

We may examine and audit your books and records as they relate to this policy at any time during the policy period and up to three years afterward.

4. Increased Hazard Clause

If there is a material increased hazard in the risk, change in project scope or change in project principals, the NAMED INSURED shall give notice in writing to the Company within 30 days of the NAMED INSURED's knowledge of the same. The Company shall have the right, but not the obligation, to modify the terms of insurance in accordance with the terms and conditions that would apply to the material increased hazard.

This increase in hazard could be, but is not limited to, the purchase of a large competitor, the increase in production in "high risk" area or Named Storm areas.

5. Inspections and Surveys

a. We have the right to:

1. Make inspections and surveys at any time;
2. Give you reports on the conditions we find; and
3. Recommend changes.

b. We are not obligated to make any inspections, surveys, reports or recommendations and any such actions we do undertake relate only to insurability and the premiums to be charged. We do not make safety inspections. We do not undertake to perform the duty of any person or organization to provide for the health or safety of workers or the public. And we do not warrant that conditions:

1. Are safe or healthful; or
2. Comply with laws, regulations, codes or standards.
3. Paragraphs (1 and 2) of this condition apply not only to us, but also to any rating, advisory, rate service or similar organization which makes insurance inspections, surveys, reports or recommendations.
4. Paragraph (2) of this condition does not apply to any inspections, surveys, reports or recommendations we may make relative to certification, under state or municipal statutes, ordinances or regulations, of boilers, pressure vessels or elevators.

6. Premiums

The first Named Insured shown in the Declarations:

1. Is responsible for the payment of all premiums; and

2. Will be the payee for any return premiums we pay.

7. Transfer of Your Rights and Duties Under This Policy

Your rights and duties under this policy may not be transferred without our written consent except in the case of death of an individual named insured. If you die, your rights and duties will be transferred to your legal representative but only while acting within the scope of duties as your legal representative. Until your legal representative is appointed, anyone having proper temporary custody of your property will have your rights and duties but only with respect to that property.

8. Applicable Law (U.S.A.)

This Insurance shall be subject to the applicable state law to be determined by the court of competent jurisdiction as determined by the provisions of the Service of Suit Clause (U.S.A.)

9. Sanction Limitation and Exclusion Clause

No (re)insurer shall be deemed to provide cover and no (re)insurer shall be liable to pay any claim or provide any benefit hereunder to the extent that the provision of such cover, payment of such claim or provision of such benefit would expose that (re)insurer to any sanction, prohibition or restriction under United Nations resolutions or the trade or economic sanctions, laws or regulations of the European Union, United Kingdom or United States of America.

10. Service of Suit

This Service of Suit Clause will not be read to conflict with or override the obligations of the parties to arbitrate their disputes as provided for in any Arbitration provision within this Policy. This Clause is intended as an aid to compelling arbitration or enforcing such arbitration or arbitral award, not as an alternative to such Arbitration provision for resolving disputes arising out of this contract of insurance (or reinsurance).

It is agreed that in the event of the failure of the Underwriters hereon to pay any amount claimed to be due hereunder, the Underwriters hereon, at the request of the Insured (or Reinsured), will submit to the jurisdiction of a Court of competent jurisdiction within the United States. Nothing in this Clause constitutes or should be understood to constitute a waiver of Underwriters' rights to commence an action in any Court of competent jurisdiction in the United States, to remove an action to a United States District Court, or to seek a transfer of a case to another Court as permitted by the laws of the United States or of any State in the United States.

It is further agreed that service of process in such suit may be made upon Lloyd's America, Inc. Att: Legal Department 280 Park Avenue, East Tower, 25th Floor New York, NY 10017 and that in any suit instituted against any one of them upon this contract, Underwriters will abide by the final decision of such Court or of any Appellate Court in the event of an appeal.

The above-named are authorized and directed to accept service of process on behalf of Underwriters in any such suit and/or upon the request of the Insured (or Reinsured) to give a written undertaking to the Insured (or Reinsured) that they will enter a general appearance upon Underwriters' behalf in the event such a suit shall be instituted.

Further, pursuant to any statute of any state, territory or district of the United States which makes provision therefor, Underwriters hereon hereby designate the Superintendent, Commissioner or Director of Insurance or other officer specified for that purpose in the statute, or his successor or successors in office, as their true and lawful attorney upon whom may be served any lawful process in any action, suit or proceeding instituted by or on behalf of the Insured (or Reinsured) or any beneficiary hereunder arising out of this contract of insurance (or reinsurance), and hereby designate the above-named as the person to whom the said officer is authorized to mail such process or a true copy thereof.

11. Several Liability

The subscribing insurers' obligations under contracts of insurance to which they subscribe are several and not joint and are limited solely to the extent of their individual subscriptions. The subscribing insurers are not responsible for the subscription of any co-subscribing insurer who for any reason does not satisfy all or part of its obligations.

PREMIER HOMEBUILDERS BUILDERS RISK COVERAGE SECTION

"We" cover risks of direct physical loss or damage to covered property from any of the covered causes of loss.

COVERED PROPERTY

"We" cover the following property in which you have an Insurable interest, unless the property is excluded or subject to limitations.

1. Course of Construction –

a. Coverage – "We" cover direct physical loss or damages caused by a covered peril to "buildings or structures" and infrastructure work in the course of construction, erection or installation at "jobsites" described and identified in the "schedule of coverages" which are a part of this policy.

b. Scaffolding, Fencing, And Temporary Structures – "We" also cover direct physical loss or damage caused by a covered peril to:

1. Scaffolding, construction forms, or temporary fencing; and
2. Temporary Structures,

at "jobsites" described and identified in the "schedule of coverages" which are a part of this policy.

2. On-Site Equipment Coverage – "We" also cover direct physical loss or damage to equipment used within 100' of any one jobsite. This equipment can include, but is not limited:

1. Forklifts,

2. Golf Carts,
3. ATV's, and
4. Manlifts

3. Common Area and Amenities Coverage

a. Coverage – “We” cover direct physical loss or damage caused by a covered peril to common area and amenity items in the course of construction, erection or installation at “jobsites” described and identified in the “schedule of coverages” which are a part of this policy.

b. Common Area and Amenities items include, but are not limited to:

1. Clubhouses
2. Bath Houses
3. Recreation Buildings
4. Pools
5. Tennis Courts
6. Playgrounds

4. Coverage Conditions – “We” will provide coverage for covered property that will become a permanent part of the construction or installation from the time any covered property during construction or installation at scheduled “jobsites”.

1. Including any time when property is being transported to the scheduled jobsite or temporary storage location; and
2. While awaiting installation at scheduled jobsites or temporary storage locations.

TERM OF COVERAGE

a. When Coverage Ceases – Coverage will end when one of the following first occurs:

1. This Policy expires or is cancelled;
2. Covered property is accepted by the purchaser or owner;
3. “Your” insurable interest in the covered property ceases; or
4. “You” abandon construction with no intent to complete it.

b. Occupancy or Use – “We” do not provide coverage under this policy if, without “our” prior written consent, covered property is occupied in whole or in part for more than 90 days. This clause does not

apply to Clubhouses, Lease Backs, Model Homes, Sales Centers, Townhouse or Condominium buildings and full permission to occupy is granted for Clubhouses, Lease Backs, Model Homes, Sales Centers, Townhouse or Condominium buildings and owned corporate properties covered under Building and Contents coverages.

COVERAGE TERRITORY

This Policy insures within and between the 50 states of the United States of America, the District of Columbia, US Territories and Possession, including Puerto Rico.

PROPERTY NOT COVERED

Covered Property does not include:

- a. Any property that is not intended to become a permanent part of a “building or structure” at an insured “jobsite”, unless we specifically add such coverage to this policy.
- b. Any Real or Personal Property that existed prior to construction or installation and is intended to be a part of the completed structure unless coverage for existing building is noted on the “schedule of coverages” and reported as required within Reporting Conditions.
- c. Property belonging to others, in the course of construction or installation at “jobsites” described and identified in the “schedule of coverages” which are a part of this policy, unless “you” have agreed, prior to any loss or damage to said property, to assume, in writing, liability for any such loss and the value of this property is reported to “us” in accordance with the “terms” of the reporting provisions attached to this policy.
- d. Contraband or property in the course of illegal transportation or trade.
- e. Bridges, Tunnels, Piers, Wharves, and Dams.
- f. Land or Water including land on which covered property is located.
- g. Property while waterborne, except while in transit and operating on inland waterways only.

PERILS EXCLUDED

a. “We” do not pay for loss or damage caused directly or indirectly by one or more of the following excluded causes or events. Such loss or damage is excluded regardless of other causes or events that contribute to or aggravate the loss or damage, whether such causes or events act to produce the loss or damage before, at the same time as, or after the excluded causes or events.

1. **Civil Authority** – “We” do not pay for loss or damage caused by order of any civil authority, including seizure, confiscation, destruction, or quarantine of property.

- a. "We" do cover loss or damage resulting from acts of destruction by the civil authority to prevent the spread of fire, unless the fire is caused by a peril excluded under this coverage.
- 2. Earth Movement or Volcanic Action** - "We" do not pay for loss or damage caused by any "earth movement" (other than "sinkhole collapse") unless coverage is indicated on the Schedule of Coverages page.
 - a. "We" do cover direct loss or damage by fire or explosion resulting from either "earth movement" or "volcanic action".
 - b. This exclusion does not apply to covered property while in transit.
- 3. Flood** – "We" do not pay for loss or damage caused by "flood" unless coverage is indicated on the Schedule of Coverages page.
 - a. "We" do cover direct loss or damage by fire, explosion, or sprinkler leakage resulting from "flood".
 - b. This exclusion does not apply to covered property while in transit.
- 4. Fungus** – Except as provided under Coverage Extensions, "we" do not pay for loss, damage, cost, or expense caused by or relating to the existence of or any activity of "fungus".
 - a. But if "fungus" results in a "specified peril", "we" cover loss or damage caused by that
 - b. "Specified peril"
 - c. This exclusion does not apply to:
 - i. Loss or damage that results from fire or lightning; or
 - ii. Collapse caused by hidden decay.
- 5. Radioactive Contamination, Chemical, Biological, Bio-Chemical and Electromagnetic Weapons Exclusion Clause** – "We" do not pay for loss or damage caused by or resulting from:
 - a. nuclear reaction, nuclear radiation, or radioactive contamination (whether controlled or uncontrolled; or whether caused by natural, accidental, or artificial means).
 - b. ionising radiations from or contamination by radioactivity from any nuclear fuel or from any nuclear waste or from the combustion of nuclear fuel
 - c. the radioactive, toxic, explosive or other hazardous or contaminating properties of any nuclear installation, reactor or other nuclear assembly or nuclear component thereof

- d. any weapon or device employing atomic or nuclear fission and/or fusion or other like reaction or radioactive force or matter
- e. the radioactive, toxic, explosive or other hazardous or contaminating properties of any radioactive matter. The exclusion in this sub-clause does not extend to radioactive isotopes, other than nuclear fuel, when such isotopes are being prepared, carried, stored, or used for commercial, agricultural, medical, scientific or other similar peaceful purposes
- f. any chemical, biological, bio-chemical, or electromagnetic weapon.

6. Ordinance or Law – Except as provided under Supplemental Coverages - Ordinance or Law, "we" do not pay for loss, damage or increased cost caused by enforcement of any code, ordinance, or law regulating the use, construction, or repair of any "building or structure"; or requiring the demolition of any "building or structure" including the cost of removing its debris.

- a. "We" do not pay for loss or damage regardless if the loss or damage is caused by or results from the:
 - i. Enforcement of any code, ordinance, or law even if a "building or structure" has not been damaged; or
 - ii. Increased costs that "you" incur because of "your" compliance with a code, ordinance, or law during the construction, of a "building or structure", including the removal of debris, following a direct physical loss to the property.

7. Soft Costs - "We" do not cover soft cost expenses that arise out of a "delay" resulting from direct physical loss or damage to covered property in the course of construction that is caused by a covered peril.

8. War and Military Action – "We" do not pay for loss or damage caused by:

- a. War, including undeclared war or civil war;
- b. A warlike action by a military force, including action taken to prevent or defend against an actual or expected attack, by any government, sovereign, or other authority using military personnel or other agents; or
- c. Insurrection, rebellion, revolution, invasion or unlawful seizure of power including action taken by governmental authority to prevent or defend against any of these.
- d. acts of foreign enemies, hostilities (whether war be declared or not), military or usurped power or confiscation or nationalization or requisition or destruction of or damage to property by or under the order of any government or public or local authority.

With regard to any action that comes within the "terms" of this exclusion and involves nuclear reaction, nuclear radiation, or radioactive contamination, this War and Military Action Exclusion will apply in place of the Nuclear Hazard Exclusion.

b. "We" do not pay for loss or damage that is caused by or results from one or more of the following:

1. Criminal, Fraudulent, Dishonest, Or Illegal Acts - "We" do not pay for loss or damage caused by or resulting from criminal, fraudulent, dishonest, or illegal acts committed alone or in collusion with another by:

- a. "You"
- b. Others who have an interest in the property;
- c. Others to whom "you" entrust the property;
- d. "Your" partners, officers, directors, trustees, joint ventures, or "your" members or managers if "you" are limited liability company; or
- e. The employees or agents of 1, 2, 3, or 4 above, whether or not they are at work.

This exclusion does not apply to acts of destruction by "your" employees, but "we" do not pay for theft by employees.

This exclusion does not apply to covered property in the custody of a carrier for hire.

2. Electronic Data Exclusion - Notwithstanding any provision to the contrary within the Policy or any endorsement thereto, it is understood and agreed as follows:

- a. This Policy does not insure loss, damage, destruction, distortion, erasure, corruption or alteration of ELECTRONIC DATA from any cause whatsoever (including but not limited to COMPUTER VIRUS) or loss of use, reduction in functionality, cost, expense of whatsoever nature resulting therefrom, regardless of any other cause or event contributing concurrently or in any other sequence to the loss.
- b. ELECTRONIC DATA means facts, concepts and information converted to a form useable for communications, interpretation or processing by electronic and electromechanical data processing or electronically controlled equipment and includes programmes, software and other coded instructions for the processing and manipulation of data or the direction and manipulation of such equipment.
- c. COMPUTER VIRUS means a set of corrupting, harmful or otherwise unauthorised instructions or code including a set of maliciously introduced unauthorised instructions or code, programmatic or otherwise, that propagate themselves through a computer system or network of whatsoever nature. COMPUTER VIRUS includes but is not limited to 'Trojan Horses', 'worms' and 'time or logic bombs'.

However, in the event that a peril listed below results from any of the matters described in paragraph (a) above, this Policy, subject to all its terms, conditions and exclusions, will cover physical damage occurring during the Policy period to property insured by this Policy directly caused by such listed peril

- i. Listed Perils

ii. Fire

iii. Explosion

Electronic Data Processing Media Valuation

Notwithstanding any provision to the contrary within the Policy or any endorsement thereto, it is understood and agreed as follows:

Should electronic data processing media insured by this Policy suffer physical loss or damage insured by this Policy, then the basis of valuation shall be the cost of the blank media plus the costs of copying the ELECTRONIC DATA from back-up or from originals of a previous generation. These costs will not include research and engineering nor any costs of recreating, gathering or assembling such ELECTRONIC DATA. If the media is not repaired, replaced or restored the basis of valuation shall be the cost of the blank media. However this Policy does not insure any amount pertaining to the value of such ELECTRONIC DATA to the Assured or any other party, even if such ELECTRONIC DATA cannot be recreated, gathered or assembled.

3. **Freezing** – “We” do not pay for loss or damage caused by “water”; other liquids; or powdered or molten material that leaks or flows from plumbing, heating, air-conditioning systems, or appliances other than fire protective systems caused by freezing.

This does not apply if “you” use reasonable care to maintain heat in the “building or structure”; or “you” drain the equipment and turn off the supply if the heat is not maintained.

4. **Loss of Use and Consequential Loss** – “We” do not pay for loss or damage caused by or resulting from loss of use, delay, or loss of market.

5. **Missing Property** – “We” do not pay for missing property where the only proof of loss is unexplained or mysterious disappearance of covered property, or shortage of property discovered on taking inventory, or any other instance where there is no physical evidence to show what happened to the covered property.

This exclusion does not apply to covered property in the custody of a carrier for hire.

6. **Testing** – “We” do not pay for loss or damage caused by performance, stress, pressure, or overload testing of materials, supplies, machinery, fixtures, and equipment that will become a permanent part of a covered “building or structure”.

c. “We” will not pay for loss or damage caused by or resulting from any of the following. But if loss or damage to Covered Property by a Covered Cause of Loss results, we will pay for the loss or damage to Covered Property caused by that Covered Cause of Loss.

1. **Contamination or Deterioration** – “We” do not pay for loss or damage caused by contamination or deterioration including corrosion, decay, rust, rot, or any quality defect, fault, or weakness in covered property that causes it to damage or destroy itself.

2. **Defects, Errors, And Omissions** – "We" do not pay for loss or damage caused by an act, defect, error, or omission (negligent or not) relating to design, specifications, construction, materials, or workmanship.
3. **Electrical Currents** – "We" do not pay for loss or damage caused by or resulting from artificially generated electrical current, including electric arcing, that disturbs electrical devices, appliances, or wires.
4. **Mechanical Breakdown** – "We" do not pay for loss or damage caused by a latent defect, mechanical breakdown, malfunction, or rupturing or bursting of moving parts of machinery caused by centrifugal force.
5. **Pollutants** – "We" do not pay for loss or damage caused by or resulting from the actual, alleged or threatened presence, release, discharge, seepage, migration, dispersal, or escape of "pollutants":
 - i. Unless the release, discharge, seepage, migration, dispersal, or escape is caused by a "specified peril"; or
 - ii. Except as specifically provided under the Supplemental Coverages Pollutant Cleanup and Removal.
6. **Pollution or Toxic Injury Hazard** – This policy does not apply to any claim alleging bodily injury or property damage or liability arising out of the "pollution or toxic injury hazard."
 - a. Whether or not the claim arises out of professional services rendered by the insured, goods or containers in which goods are packaged or sold, shipped or forwarded by the insured, or liability arising out of premises owned, leased, occupied or used by the insured.
 - b. Alleging bodily injury or property damage or liability arising out of the "pollution or toxic injury hazard," whether or not the actual or threat of exposure occurred in a confined or unconfined indoor or outdoor space, and whether or not the bodily injury, property damage or liability arose out of the negligent use or handling of toxic substances that occur in the normal course of business.

"Pollution or toxic injury hazard" means an actual exposure or threat of exposure to the corrosive, toxic or other harmful properties or effects of any solid, liquid, gaseous or thermal products, or byproducts, which are or contain pollutants, contaminants, irritants or toxic substances, including but not limited to smoke, vapors, soot, fumes, acids or alkalis, petroleum or hazardous substances and waste materials consisting of or containing any of the foregoing. Underwriters shall have no obligation under the policy

 - a. To investigate, settle or defend any claim or suit against the Insured alleging actual or threatened injury or damage of any nature or kind to persons or property which arises out of or would not have occurred but for the "pollution or toxic injury hazard"; or
 - b. To pay any damages, judgments, settlement, loss, costs or expenses that may be awarded or incurred by reason of any such claim or suit or any such injury or damage, or in

complying with any action authorized by law and relating to such injury or damage or liability.

7. **Settling, Cracking, Shrinking, Bulging, Or Expanding** – "We" do not pay for loss or damage caused by settling, cracking, shrinking, bulging, or expanding of pavements, foundations, walls, ceilings, glass, or roofs or loss of structural integrity.
8. **Temperature/Humidity** – "We" do not pay for loss or damage caused by dryness, dampness, humidity, or changes in or extremes of temperature, whether or not atmospheric.
9. **Wear and Tear** – "We" do not pay for loss or damage caused by wear and tear, marring, or scratching.

COVERAGE EXTENSIONS

Provisions That Apply to Coverage Extensions – The following Coverage Extensions indicate an applicable "limit". This "limit" may also be shown on the "schedule of coverages".

If a different "limit" is indicated on the "schedule of coverages", that "limit" will apply instead of the "limit" shown below.

However, if no "limit" is indicated for a Coverage Extension, coverage is provided up to the full "limit" for the applicable covered property unless a different "limit" is indicated on the "schedule of coverages".

Unless otherwise indicated, the "limits" for the coverages provided below are part of and not in addition to the applicable "limit" for coverage described under Covered Property.

The "limit" provided under a Coverage Extension cannot be combined or added to the "limit" for any other Coverage Extension or Supplemental Coverage including a Coverage Extension or Supplemental Coverage that is added to this policy by endorsement.

a. Debris Removal –

1. **Coverage** – "We" pay the cost to remove the debris of covered property that is caused by a covered peril.
2. **We Do Not Cover** – This coverage does not include cost to:
 - a. Extract "pollutants" from land or "water"; or
 - b. Remove, restore, monitor, clean up, detoxify, contain, treat, neutralize or replace land, soil or "water".
3. **Limit** – "We" do not pay any more under this coverage than 25% of the amount "we" pay for the direct physical loss. "We" will not pay more for loss to property and debris removal combined than the "limit" for the damaged property.

4. **Additional Limit** – “We” pay up to an additional \$50,000 for debris removal expense when the debris removal expense exceeds 25% of the amount “we” pay for direct physical loss or when the loss to property and debris removal combined exceeds the “limit” for the damaged property.

You Must Report Your Expense – “We” do not pay any expenses unless they are reported to “us” in writing within 180 days from the date of direct physical loss to covered property.

b. Emergency Removal –

1. **Coverage** – “We” cover any direct physical loss or damage to covered property while it is being moved or being stored to prevent a loss caused by a covered peril.
2. **Time Limitation** – This coverage applies for up to ten (10) days after the property is first moved. Also, this coverage does not extend past the date on which this policy expires.

c. Emergency Removal Expenses –

1. **Coverage** – “We” cover “your” expenses to move or store covered property to prevent a loss caused by a covered peril.
2. **Time Limitation** – This coverage applies for up to ten (10) days after the property is first moved. Also, this coverage does not extend past the date on which this policy expires.
3. **Limit** – The most “we” pay in any one occurrence for expenses to move or store covered property to prevent a loss is \$100,000.
4. **This Is a Separate Limit** – The “limit” for Emergency Removal Expenses is separate from, and not part of, the applicable “limit” for coverage described under Covered Property.

d. Fraud and Deceit –

1. **Coverage** – “We” cover theft of covered property when “you”, “your” agents, customers, or consignees are fraudulently induced to part with the covered property:
 - a. To persons who falsely represent themselves as the proper persons to receive the property;
 - b. By the acceptance of fraudulent bills of lading or shipping receipts; or
 - c. As a direct result of the use of any electronic data processing hardware or software.
2. **Limit** – The most “we” pay in any one occurrence for theft of covered property under this Coverage Extension is \$25,000.

e. Free Standing Appliances –

1. **Coverage** – “We” cover direct physical loss or damage caused by a covered peril to free standing household appliances. Free standing household appliances include, but are not limited to, refrigerators, dishwashers, stoves, and ovens.
2. **Coverage Limitations** – “We” only cover free standing household appliances that are in a fully enclosed and locked covered “building or structure” and that have been installed or are awaiting installation at the “jobsite”.

3. **Limit** – The most “we” pay in any one occurrence for free standing household appliances is \$50,000.

f. Limited Fungus Coverage –

1. **Coverage** – “We” pay for direct physical loss or damage to covered property directly caused by the existence of or activity of “fungus”.
2. **Coverage Limitation** – “We” only cover loss caused by “fungus”:

a. When the “fungus” is the result of:

- i. A “specified peril” other than fire or lightning; or
- ii. “Water” (if Water Coverage is provided under this policy);

That occurs during the policy period; and

b. All reasonable steps were taken to protect the property from additional damage at and after the time of the occurrence.

3. **Limit** – The most “we” pay for all losses at all “buildings or structures” is \$15,000, unless another “limit” is indicated on the “schedule of coverages”. The Limited Fungus Coverage Limit applies regardless of the number of claims made or the number of locations or “buildings or structures” insured under this policy.

The Limited Fungus Coverage Limit is the most that “we” pay for the total of all loss or damage arising out of all occurrences of “specified perils” (other than fire or lightning, or “flood”, if applicable), during each separate 12-month period beginning with the inception date of this policy.

4. **If the Policy Period is Extended** – If the policy period is extended for an additional period of less than 12 months, this additional period will be considered part of the preceding period for the purpose of determining the Limited Fungus Coverage Limit.
5. **Recurrence and Continuation of Fungus** – The Limited Fungus Coverage Limit is the most that “we” pay with respect to a specific occurrence of a loss which results in “fungus” even if such “fungus” recurs or continues to exist during this or any future policy period.
6. **Limit Applies to Other Costs or Expenses** – The Limited Fungus Coverage Limit also applies to any cost or expense to:
 - a. Clean up, contain, treat, detoxify, or neutralize “fungus” on covered property or remove “fungus” from covered property;
 - b. Remove and replace those parts of covered property necessary to gain access to “fungus”; and
 - c. Test for the existence or level of “fungus” following the repair, replacement, restoration, or removal of damaged property if it is reasonable to believe that “fungus” is present.

7. **Loss Not Caused by Fungus** – If there is a covered loss or damage to covered property not caused by “fungus”, loss payment will not be limited by the “terms” of this coverage extension. However, to the extent that “fungus” causes an increase in the loss, that increase is subject to the “terms” of this coverage extension.

g. Home Pending Sale –

1. **Coverage** – “We” continue to provide coverage for direct physical loss or damage caused by a covered peril to covered “buildings or structures” after construction has been completed and the covered property qualifies as a “home pending sale”.
2. **Coverage Limitations** – “We” only cover “buildings or structures” after they have been completed that are at a “jobsite” described on the “schedule of coverages” or that “you” report to “us” in accordance with the “terms” of the reporting provisions attached to this policy.
3. **Time Limitation** – “We” will provide coverage under this Coverage Extension for up to 90 days after the “completion date”.
4. **Limit** – The most “we” pay in any one occurrence for “home pending sale” is:
 - a. The value reported to “us” on the most recent report submitted, but not more than the limit outlined on the “schedule of coverages” or the Course of Construction Limit; whichever is less; or
 - b. If the value of the “home pending sale” is not on the most recent report submitted or this policy is not subject to Reporting Conditions, and there is no other limit outlined on the “schedule of coverages” the most we will pay for any one structure is \$250,000.

h. Model Homes –

1. **Coverage** – “We” cover direct physical loss or damage caused by a covered peril to model homes and their contents, including fine arts, that are owned, leased, rented or borrowed by “you”; and in which an insurable interest is maintained by “you”, but only to the extent of that insurable interest.
2. **Coverage Limitation** – “We” only cover model homes including contents that are at a “jobsite” described on the “schedule of coverages” or that “you” report to “us” in accordance with the “terms” of the reporting provisions attached to this policy.
3. **Limit** – The most “we” pay in any one occurrence for model homes including contents is:
 - a. The value reported to “us” on the most recent report submitted, but not more than the limit outlined on the “schedule of coverages” or the Course of Construction Limit; whichever is less; or
 - b. If the value of the model home is not on the most recent report submitted or this policy is not subject to Reporting Conditions, and there is no other limit outlined on the “schedule of coverages” the most we will pay for any one structure is \$250,000.

i. Re-Erect Scaffolding –

1. **Coverage** – “We” pay “your” expense to re-erect scaffolding after a covered loss to a covered “building or structure”.

2. **Limit** – The most “we” pay for expense to re-erect scaffolding is \$100,000.

j. Sales, Office and Tool Trailers –

1. **Coverage** – “We” cover direct physical loss or damage caused by a covered peril to sales, office and tool trailers including contents in the trailers.
2. **Coverage Limitation** – “We” only cover sales, office and tool trailers including contents that are at a “jobsite” described on the “schedule of coverages” or that “you” report to “us” in accordance with the “terms” of the reporting provisions attached to this policy.
3. **Limit** – The most “we” pay in any one occurrence for sales, office and tool trailers including contents is:
 - a. The value reported to “us” on the most recent report submitted, but not more than the limit outlined on the “schedule of coverages” or the Course of Construction Limit; whichever is less; or
 - b. If the value of the sales, office or tool trailer is not on the most recent report submitted or this policy is not subject to Reporting Conditions, and there is no other limit outlined on the “schedule of coverages” the most we will pay in any one occurrence is \$100,000.

k. “Trade In”, “Buy-Back” or “Unsold Properties” –

1. **Coverage** – “We” cover direct physical loss or damage caused by a covered peril to “trade-in”, “buy-back” or “unsold properties” that are owned, leased, rented or borrowed by “you”; and in which an insurable interest is maintained by “you”, but only to the extent of that insurable interest.
2. **Coverage Limitation** –
 - a. “We” only cover “trade-in”, “buy-back” or “unsold properties” that are at a “jobsite” described on the “schedule of coverages” or that “you” report to “us” in accordance with the “terms” of the reporting provisions attached to this policy.
3. **Time Limitation** – “We” will provide coverage under this Coverage Extension for up to 90 days after the “completion date”.
4. **Limit** – The most “we” pay in any one occurrence for “trade-in”, “buy-back” or “unsold properties” is:
 - a. The value reported to “us” on the most recent report submitted, but not more than the limit outlined on the “schedule of coverages” or the Course of Construction Limit; whichever is less.
 - b. If the value of the “trade-in”, “buy-back” or “unsold property” is not on the most recent report submitted or this policy is not subject to Reporting Conditions, and there is no other limit outlined on the “schedule of coverages” the most we will pay for any one structure is \$250,000.

l. Trees, Shrubs, Plants and Lawns –

1. **Coverage** – “We” cover direct physical loss or damage including debris removal expenses, to outdoor trees, shrubs, plants, and lawns.

2. **Coverage Limitation** – "We" only cover trees, shrubs, plants, and lawns that are:
 - a. At a covered "jobsite", in transit or at a temporary storage location; and
 - b. A part of "your" construction project.
3. **Limit** – The most "we" pay in any one occurrence for trees, shrubs, plants and lawns is \$50,000.

SUPPLEMENTAL COVERAGES

Provisions That Apply to Supplemental Coverages – The following Supplemental Coverages indicate an applicable "limit". This "limit" may also be shown on the "schedule of coverages".

If a different "limit" is indicated on the "schedule of coverages", that "limit" will apply instead of the "limit" shown below.

However, if no "limit" is indicated below for a Supplemental Coverage, coverage is provided up to the full "limit" for the applicable covered property unless a different "limit" is indicated on the "schedule of coverages".

Unless otherwise indicated, a "limit" for a Supplemental Coverage provided below is separate from, and not part of, the applicable "limit" for coverage described under Covered Property.

The "limit" available for coverage described under a Supplemental Coverage:

- i. Is the only "limit" available for the described coverage; and
- ii. Is not the sum of the "limit" indicated for a Supplemental Coverage and the "limit" for coverage described under Covered Property.

a. Accounts Receivable –

1. **Coverage** – "We" cover losses and expenses that "you" incur as a result of direct physical loss caused by a covered peril to "your" records of accounts receivable.
2. **Coverage Limitations** – "We" only cover losses and expenses for "your" accounts receivable arising from the following conditions:
 - a. Sums due to "you" from customers, provided "you" are unable to effect collection;
 - b. Interest charges on any loan used to offset impaired collections pending "our" payment of such sums;
 - c. Collection expenses in excess of normal collection costs made necessary because of loss or damage; and
 - d. Other reasonable expenses incurred by "you" in recreating records of accounts receivable following such loss or damage.
3. **Limit** – The most "we" pay for loss to accounts receivable in any one occurrence is \$100,000.

b. Consequential Loss –

1. **Coverage** – Consequential loss means the loss of value of an undamaged part or parts of any covered property which becomes unmarketable. It must be unmarketable due to direct physical loss or damage to another part or parts of the “jobsites” covered by this policy, where the replacement cost to repair or replace exceeds one-third or greater of the reported value to us of the “building or structure” or covered property involved in the loss.
2. **Coverage Limitation** – “Your” consequential loss must be as a direct result of a loss by a covered peril to a covered “building or structure” at a covered “jobsite”.
3. **Limit** – The most “we” pay in any one occurrence for all consequential loss is \$25,000.

c. Contract Penalty –

1. **Coverage** – “We” pay for the cost of contractual penalties for non-completion that “you” are assessed or are required to pay because “you” are unable to complete construction of a covered “building or structure” in accordance with the “terms” or conditions of the building contract.
2. **Coverage Limitation** – “Your” inability to complete construction on time must be as a direct result of a loss by a covered peril to a covered “building or structure”.
3. **Limit** – The most “we” pay in any one occurrence for all contractual penalties is \$100,000.

d. Expediting Expenses –

1. **Coverage** – When a covered peril occurs to a covered “building or structure”, “we” pay for reasonable expediting expenses necessary to complete construction within the time frame specified in the construction contract.

Expediting expenses include, but are not limited to, additional:

- a. Labor or overtime;
 - b. Transportation costs and storage expense;
 - c. Expense to rent additional equipment; and
 - d. Similar construction expenses.
3. **Limit** – The most “we” pay in any one occurrence is the actual expense you incur, but not more than \$100,000.

e. Fire Department Service Charges –

1. **Coverage** – “We” cover “your” liability, assumed by contract or agreement prior to the loss, for fire department service charges. No deductible applies to this Supplemental Coverage.
2. **Coverage Limitations** – “We” only pay for:
 - a. Fire department service charges that relate to covered property; and
 - b. Charges incurred when the fire department is called to save or protect covered property from a covered peril.
3. **Limit** – The most “we” pay in any one occurrence for “your” liability for fire department service charges is \$100,000.

f. Ordinance or Law (Increased Cost to Repair and Cost to Demolish/Clear Site) –**1. Increased Cost to Repair –**

- a. **Coverage** – When a covered peril occurs to a covered “building or structure”, “we” cover the increased cost to repair, rebuild, or reconstruct:
 - i. Damaged portions of a covered “building or structure”; and
 - ii. Undamaged portions of a covered “building or structure” whether or not those undamaged portions need to be demolished;

As a result of the enforcement of building zoning, or land use ordinance, law, or decree that is in force at the time when a covered peril occurs to a covered “building or structure”.

- b. **If the Building is Repaired or Rebuilt** – If a covered “building or structure” is repaired or rebuilt, it must be intended for similar occupancy as the current property, unless otherwise required by building, zoning, or land use ordinance, law, or decree.
- c. **Coverage Limitation** – “We” do not cover the increased cost of construction until the covered “building or structure” is actually repaired or replaced, whether at the same or another location, and unless the repairs or replacement are made as soon as reasonably possible after the loss, not to exceed two years. The period for repair or replacement may be extended by “us” in writing during the two-year period.
- d. **Limit** – The most “we” pay in any one occurrence for Demo and Increased Cost of Construction is \$250,000 and Undamaged Portions of a building is \$100,000

2. Cost to Demolish and Clear Site –

“We” cover the cost to demolish and clear the site of undamaged parts of the covered “building or structure” that is damaged or destroyed by a covered peril. The demolition must be a result

of the enforcement of a building, zoning, or land use ordinance, law, or decree that is in force at the time when a covered peril occurs to a covered “building or structure”.

3. We Do Not Cover – “We do not cover”:

- a. The costs associated with the enforcement of any ordinance, law, or decree:
 - i. That requires “you” or anyone else to test for, monitor, clean up, remove, contain, treat, detoxify, or neutralize or in any way respond to or assess the effects of “pollutants” or “fungus”; or
 - ii. “You” were required to comply with before the covered peril occurred to a covered “building or structure”, even if the “building or structure” was undamaged and “you” failed to comply with the ordinance, law, or decree; or
- e. Loss or increased cost caused by the enforcement of any ordinance, law, or decree that requires the reconstruction, repair, replacement, remodeling, remediation or razing of property due to the existence of or any activity of “fungus”.

4. What We Pay if the Building is Repaired or Replaced at Same Site or Opt to Build at Another Location – If the covered “building or structure” is repaired or replaced at the same location or “you” opt to build at another location, “we” pay the lesser of:

- a. The amount “you” actually spend to demolish and clear the site of undamaged parts of the covered “building or structure”, plus the actual increased cost to repair, rebuild, or construct the property but not for more than a “building or structure” of the same height, floor area, and style at the same location; or
- b. \$1,000,000.

5. What We Pay if the Building is Repaired or Replaced and Required By Ordinance or Law to Relocate – If the covered “building or structure” is rebuilt at a new location due to an ordinance or law requirement, “we” pay the lesser of:

- a. The amount “you” actually spend to demolish and clear the site of undamaged parts of the covered “building or structure”, plus the actual increased cost to construct a “building or structure” of the same height, floor area, and style at a new location; or
- b. \$250,000.

6. What We Pay if the Building is Not Repaired or Replaced – If the covered “building or structure” is not repaired or replaced, “we” pay the lesser of:

- a. The amount “you” actually spend to demolish and clear the site of undamaged parts of the covered “building or structure”; or
- b. \$25,000.

g. Pollutant Cleanup and Removal –

- 1) Coverage –** "We" pay "your" expense to extract "pollutants" from land or "water" if the discharge, dispersal, seepage, migration, release, or escape of the "pollutants" is caused by a covered peril that occurs during the policy period.
- 2) Time Limitation –** The expenses to extract "pollutants" are paid only if they are reported to "us" in writing within 180 days from the date the covered peril occurs.
- 3) We Do Not Cover –** "We" do not pay the cost of testing, evaluating, observing, or recording the existence, level, or effects of "pollutants". However, "we" pay the cost of testing which is necessary for the extraction of "pollutants" from land or "water".
- 4) Limit –** The most "we" pay for each location is \$25,000 for the sum of all such expenses arising out of a covered peril occurring during each separate 12-month period of this policy.

h. Recharge of Fire Extinguishing Equipment –

"We" pay up to \$50,000 to cover "your" incurred expenses to recharge "your" automatic fire extinguishing equipment or hand-held fire extinguishing equipment when the equipment is discharged:

- a. To fight a fire;
- b. As a result of a covered peril; or
- c. As a result of an accidental discharge.

However, "we" do not pay for "your" expenses to recharge equipment as a result of a discharge during testing or installation.

If it is less expensive to do so, "we" will pay "your" costs to replace "your" automatic fire extinguishing equipment or hand-held fire extinguishing equipment rather than recharge the equipment.

i. Rewards –

- 1) Coverage –** "We" pay a reward for information that leads to a conviction for the following acts against covered property:
 - i. Arson;
 - ii. Theft; or
 - iii. Vandalism.
- 2) Limit –** The most "we" pay in any one occurrence for a reward for information is \$25,000.

j. Valuable Papers –

- 1) **Coverage** – "We" pay for the cost of research or other expenses necessary to reproduce, replace, or restore lost information that results from a direct physical loss caused by a covered peril to "your" "valuable papers".
- 2) **Limit** - The most "we" pay in any one occurrence for loss to "valuable papers" is \$100,000.

SOFT COSTS COVERAGE PART

If indicated on the Schedule of Coverages, Coverage is hereby provided for permanent property as listed on the statement of values on file with the Company per the terms and conditions below.

Coverage provided under this coverage part is also subject to the "terms" and conditions in the Premier Homebuilders Coverage form under the sections titled Agreement, Definitions, Property Not Covered, Perils Covered, Perils Excluded, What Must Be Done In Case Of Loss, How Much We Pay, Loss Payment, Other Conditions, and Additional Coverage Limitations.

ADDITIONAL DEFINITIONS

a. Soft Costs –

"We" cover soft cost expenses that arise out of a "delay" resulting from direct physical loss or damage to covered property in the course of construction that is caused by a covered peril.

1. **Coverage Conditions** – "We" only cover soft cost expenses:
 - a. If a Soft Costs Coverage Limit is shown on the "schedule of coverages", and
 - b. That arise out of a "delay" to a "building or structure" that is described on the "schedule of coverages".
2. **Soft Cost Expenses Mean** – Soft cost expenses mean the necessary expenses relating to the construction of a "building or structure" that are over and above those costs that would have been incurred had there been no "delay".

Soft cost expenses are limited to:

- a. Advertising – Additional advertising, public relations, and promotional expenses.
- b. Design Fees – Additional fees for architects, interior designers, consultants and other technical advisors, and engineers not related to any redesign work to effect repairs from the physical loss or damage.

- c. Financing – Additional interest payments on money borrowed to finance construction. Interest payments do not include “your” loss or forfeiture of any equity or ownership interest as the result of changes in the market prices or the inability by anyone to satisfy any obligations including, but not limited to the repayment of financing imposed by agreement, contract, or law.
- d. Insurance Premiums – Additional cost of insurance premiums necessary to renew or extend insurance coverage.
- e. Lease Administration – The cost of administration expenses and commissions that result from the renegotiation of leases which were canceled as a result of the direct physical loss or damage.
- f. Lease Expenses – The additional cost to extend leases for construction equipment.
- g. Permit Fees – Additional fees for renewing or replacing construction permits or other licenses and permits necessary to continue construction.
- h. Professional Fees – Additional fees for accountants and attorneys but only to the extent that services for which those fees are being claimed were being provided prior to the date of the direct physical loss or damage that caused the “delay period”. Professional fees do not include fees incurred to prepare an insurance claim, measure a loss incurred because of a “delay period”, or to analyze insurance coverage.
- i. Realty Taxes – Additional realty taxes and other assessments that “you” incur for the period of time that construction has been extended beyond the projected completion date.

3. Rental Income –

“We” pay for “your” actual loss of rental income that arises out of a “delay” resulting from direct physical loss or damage to covered property in the course of construction that is caused by a covered peril, but only if a Rental Income Limit is shown on the “schedule of coverages”.

- a. Coverage Limitation - “We” only cover loss of rental income that arises out of a “delay” to a “building or structure” that is described on the “schedule of coverages”.
- b. Deduction from Loss of Rental Income - Expenses that do not necessarily continue because of a “delay” will be deducted from the loss of rental income.
- c. Limit –
 - i. 30-Day Limit – The most “we” pay in any 30-day period is the Income Coverage 30-Day Limit indicated on the Soft Costs Coverage Schedule.
 - ii. Occurrence Limit – The most “we” pay for loss in any one occurrence is the Rental Income Coverage Occurrence Limit indicated on the Soft Costs Coverage Schedule.

4. Income Coverage –

- a. Coverage – "We" pay for actual loss of net income incurred during the "delay period", but only if an Income Coverage Limit is shown on the "schedule of coverages".
- b. Coverage Limitations – "We" only cover:
 - i. The actual loss of net income (net profit or loss before income taxes) that would have been earned and continuing operating expenses normally incurred by the "business", including, but not limited to, payroll expense; and
 - ii. Loss of net income that arises out of a "delay" to a "building or structure" at a "jobsite" described on the Soft Costs Coverage Schedule.
- c. Limit –
 - i. 30-Day Limit – The most "we" pay in any 30-day period is the Income Coverage 30-Day Limit indicated on the Soft Costs Coverage Schedule.
 - ii. Occurrence Limit – The most "we" pay for loss in any one occurrence is the Income Coverage Occurrence Limit indicated on the Soft Costs Coverage Schedule.

OPTIONAL COVERAGES

Provisions That Apply to Optional Coverages - The "limit" for these Optional Coverages is separate from, and not part of, the applicable "limits" for Additional Soft Costs, Rental Income, and Income Coverage.

The "limit" available for coverage described under this Optional Coverages:

- a. Is the only "limit" available for the described coverage; and
- b. Is not the sum of the "limit" indicated for an Optional Coverage and the "limit" for "expenses and losses".

The "limit" provided under these Optional Coverages cannot be combined or added to the "limit" for any Coverage Extensions or Supplemental Coverages.

1. Sewer Backup –

- a. Coverage – If coverage is indicated on the Soft Costs Coverage Schedule, "we" extend "your" coverage under this coverage part for "expenses and losses" incurred during the "delay period" and resulting from direct physical loss or damage to a covered "building or structure" caused by:
 - i. Water or waterborne material that backs up, overflows or is otherwise discharged through a sewer or drain, sump or septic tank; or
 - ii. Water or waterborne material below the surface of the ground, including but not limited to water or waterborne material that exerts pressure on or flows, seeps, or

leaks through or into a covered "building or structure", sidewalk, driveway, foundation, swimming pool, or other structure.

2. Coverage Limitation – "We" do not cover "expenses and losses" incurred during the "delay period" if loss or damage results from:

- a. Escape of water or waterborne material from a sump pit not equipped with a sump pump;
- b. Failure to perform routine maintenance and repair of all sump pumps and related equipment;
- or
- c. Failure to perform routine maintenance of sewers and drains including keeping sewers and drains free from obstructions. This limitation does not apply if "you" are not responsible for the maintenance of sewers or drains that result in loss or damage.

COVERAGE EXTENSIONS

The coverages provided below are part of and not in addition to the applicable "limits" for Soft Costs, Rental Income, and Income Coverage.

a. Expenses to Reduce a Loss –

"We" pay for expenses incurred during the "delay period" that are necessarily incurred by "you" for the purpose of expediting the repair or replacement of the part of the covered property that sustains direct physical loss or damage.

However, "we" only pay for necessarily incurred expenses to the extent that the amount of loss or damage otherwise payable under this coverage part is reduced.

b. Interruption by Civil Authority –

- 1. Coverage – "We" extend coverage under this coverage part for "expenses and losses" while access to a covered "building or structure" is specifically denied by an order of civil authority.
- 2. Coverage Limitations – The order of civil authority must be a result of direct physical loss of or damage to property other than at "your" "jobsite" and must be caused by a covered peril.
- 3. Time Limitation – This extension is limited to two consecutive weeks from the date of the order (unless otherwise indicated on the Soft Costs Coverage Schedule).

c. Limited Fungus Coverage –

- 1. Coverage – "We" extend "your" coverage under this coverage part to include "expenses and losses" that arise out of a "delay" resulting from direct physical loss or damage to a "building or structure" caused by "fungus".
- 2. Coverage Limitations – "We" only cover "expenses and losses" resulting from "fungus":

- a. When the "fungus" is the result of:
 - i. A "specified peril" other than fire or lightning; or
 - ii. "Flood" (if Flood Coverage is provided);

That occurs during the policy period; and

- b. If all reasonable steps were taken to protect the covered property from additional damage at and after the time of the occurrence.

3. Time Limitation –

- a. "We" will pay up to 30 days (unless otherwise indicated on the Soft Costs Coverage Schedule) for "expenses and losses" if a loss which resulted in "fungus" does not in itself "delay" construction, but such "delay" is necessary due to the loss or damage to property caused by "fungus". The days need not be successive.
- b. If a covered "delay" was caused by loss or damage other than "fungus" but remediation of "fungus" lengthens the "delay", "we" will pay up to 30 days (unless otherwise indicated on the Soft Costs Coverage Schedule) for "expenses and losses" sustained during the "delay period". The days need not be successive.

4. Ordinance or Law –

- a. Coverage - Coverage under this coverage part for "expenses and losses" is extended for the increased time of "delay" caused by the enforcement of any ordinance, law, or decree that:
 - i. Regulates the construction, use, or repair of a covered "building or structure"; or
 - ii. Requires the demolition of a covered "building or structure", in part or in whole, not damaged by a covered peril.

5. Coverage Limitations – Coverage is not extended to include "delay" caused by the enforcement of any ordinance, law, or decree that:

- a. Is not in force at the time of loss; or
- b. Regulates or requires the testing, evaluating, observing, or recording the existence, level, or effects of "pollutants".

SUPPLEMENTAL COVERAGES

The "limit" for this Supplemental Coverage is separate from, and not part of, the applicable "limits" for coverage described for Soft Costs, Rental Income, and Income Coverage. The "limit" available for coverage described under this Supplemental Coverage is the only "limit" available for the coverage.

a. General Administrative Expenses –

1. Coverage – "We" pay for the cost of general administrative and overhead expenses for additional clerical personnel, additional security costs, and other similar expenses incurred during the "delay period".
2. Coverage Limitation – "We" only cover general administrative expenses that arise out of a "delay" to a "building or structure" at a "jobsite" described on the Soft Costs Schedule.
3. Expenses Means – Expenses means the necessary and reasonable expenses relating to the construction, erection, or fabrication of a covered "building or structure" that are over and above those costs that would have been incurred had there been no "delay period".
4. Limit - The most "we" pay in any one occurrence for general administrative expenses is \$50,000.

If a different "limit" is indicated on the Soft Costs Coverage Schedule, that "limit" will apply instead of the "limit" shown above.

WHAT MUST BE DONE IN THE CASE OF LOSS

a. Due Diligence to Rebuild or Restore –

"We" only pay for "expenses and losses" under Soft cost, Rental Income and Income coverage during the period of time that would be required with due diligence and dispatch to rebuild or restore the damaged "building or structure" with materials of like kind and quality. "You" must do everything reasonably possible to minimize covered "expenses and losses".

b. Interference and Access –

"You" must minimize any interference with the construction schedule to avoid or reduce any resulting "delay".

c. Allowing Access –

"You" must allow "us" access to the covered "building or structure" so that "we" can negotiate with the contractors, subcontractors, manufacturers, suppliers, or other involved parties to:

1. Establish the cause and extent of the loss to the covered "building or structure";
2. Establish the amount of covered "expenses and losses"; and
3. Determine and suggest a method to minimize or avoid the "delay" in construction, repairing, remodeling, or renovation.

HOW MUCH WE PAY

a. Soft Costs, Income and Rental Income –

1. When We Pay - "We" pay for the soft costs and loss of income and rental income after the loss to a covered "building and structure".

2. Limit - The most "we" pay in any 12-month period for all soft costs and loss of income and rental income is the Limit indicated on the "schedule of coverages".
3. Waiting Period – "We" do not pay for "your" soft cost expenses or loss of income or rental income until after the number of Waiting Period days indicated on the "schedule of coverages" have passed.

b. Subrogation –

If the Company pays a claim under this policy, it will be subrogated, to the extent of such payment, to all the Insured's rights of recovery from other persons, organizations and entities. The Insured will execute and deliver instruments and papers and do whatever else is necessary to secure such rights.

The Company will have no rights of subrogation against:

1. Any person or entity, which is a Named Insured or an Additional Insured;
2. Any other person or entity, which the Insured has waived its rights of subrogation against in writing before the time of loss;

Notwithstanding the foregoing, it is a condition of this policy that the Company shall be subrogated to all the Insured's rights of recovery against:

1. Any Architect or Engineer, whether named as an Insured or not, for any loss or damage arising out of the performance of professional services in their capacity as such and caused by an error, omission, deficiency or act of the Architect or Engineer, by any person employed by them or by any others for whose acts they are legally liable, and
2. Any manufacturer or supplier of machinery, equipment or other property, whether named as an Insured or not, for the cost of making good any loss or damage which said party has agreed to make good under a guarantee or warranty, whether expressed or implied.

The Insured will act in concert with the Company and all other interest concerned in the exercise of such rights of recovery. The Insured will do nothing after a loss to prejudice such rights of subrogation.

If any amount is recovered as a result of such proceedings, the net amount recovered after deducting the costs of recovery, will accrue first to the Company. Any excess of this amount will be remitted to the Insured. If there is no recovery, the interests instituting the proceedings will bear the expense of the proceedings proportionately.

VALUATION

Determining an Income Coverage Loss –

In determining an Income Coverage loss, "we" consider:

1. The probable experience during the time of "delay" had no loss occurred;
2. Continuing operating expenses normally incurred by the "business", including, but not limited to, payroll expense necessary to resume "business" to a similar level that existed before the occurrence of direct physical loss or damage; and

3. Pertinent sources of information and reports including:
 - a. Accounting procedures and financial records;
 - b. Bills, invoices, and other vouchers;
 - c. Contracts, deeds, and liens;
 - d. Reports on feasibility and status; and
 - e. Records documenting the budget and marketing objectives and results.

REPORTING CONDITIONS

If indicated on the "schedule of coverages", the following reporting conditions apply.

a. Reports –

1. You Will Report to Us – Within 30 days after the end of each reporting period indicated on the "schedule of coverages", "you" will report to "us" the exposure bases(s) as indicated on the "schedule of coverages". "Your" report will contain the:
 - a. Exposure base(s) indicated;
 - b. Address; and
 - c. Construction classification of each "building or structure".
2. Cancellation - If "your" coverage is canceled, "you" will report the estimated completed value of each "building or structure" up to and including the date of cancellation and pay any additional premium due.
3. Unreported Locations – Locations which are not reported under the terms of the policy are considered "not covered".
4. Reports not received within 30 days of the due date are considered a breach of the policy terms and can result in restricted terms and/or notice of cancellation of the policy.

b. Newly Acquired Properties/Entities –

1. In the event the Insured makes a purchase of an existing company/entity or portfolio of properties that meet the following criteria, the Insured must report to the Company for underwriter review and acceptance:
 - a. Total Insured Value exceeds the Any One Catastrophe Limit
 - b. Coverage territory includes any locations in Tier 1 counties as defined
 - c. Greater than 20% of values is Inventory/Models/Homes Pending Sale

The Company reserves the right to modify the terms, rates, deductibles and/or premium due based upon the increased exposure/risk associated with those new acquisitions.

c. Premium Computation and Adjustment –

The premium will be adjusted as of each adjustment period indicated on the "schedule of coverages". The computed premium will be determined by multiplying the estimated completed value of each "building or structure" by the rate indicated on the "schedule of coverages".

- a. Annual Adjustment – When an annual adjustment period is indicated on the "schedule of coverages", "we" will compare the total computed premium to the deposit premium. If it is more than the deposit premium, "you" will pay "us" the difference. If it is less than the deposit premium, "we" will pay "you" the difference subject to the minimum premium indicated on the "schedule of coverages".
- b. Other Adjustment Period – When any other premium adjustment period is indicated, "we" will apply the computed premium to the deposit premium until it is exhausted. "You" will pay "us" all premiums that exceed the deposit premium. At the end of the policy period, if the computed premium is less than the deposit premium, "we" will pay "you" the difference subject to the minimum premium indicated on the "schedule of coverages".

d. Provisions That Affect How Much We Pay –

The following provisions apply to reports that are submitted and may affect How Much We Pay:

- a. Failure to Submit Reports – If "you" have failed to submit the required reports or no report has been submitted, the most "we" will pay is 90% of the "limit".
- b. Reported Values Are Less Than the Full Value – If "your" last report before a loss shows less than the actual estimated completed value of a "building or structure", "we" will only pay a part of the loss. "We" will not pay a greater portion of the loss, prior to the application of the deductible, than the value of a "building or structure" "you" reported divided by the actual estimated completed value of the "building or structure" during the reporting period.
- c. We Will Not Pay More Than the Limit - "We" will not pay more than the applicable "limit" regardless of any reported value used in computing the premium.

VALUATION

a. Replacement Cost Limitations –

1. Replacement Cost – If replacement cost or completed value is indicated in the "schedule of coverages" the value of covered property will be based on the replacement cost without any deduction for depreciation. Replacement cost includes labor, reasonable overhead and profit, and delivery charges, if included in the report of values as required by the reporting provision of the policy.
2. Replacement cost is limited to the cost of repair or replacement with similar materials on the same site and used for the same purpose.
3. Overhead and profit are included in the valuation only if they are included in the building "limit" or reports of value as required by any reporting provisions of the policy.

- a. Overhead and profit will be calculated by the percentage as outlined in the original contract but never more than 15% of the physical loss or damage.
 - b. In the event no contract is in place outlining overhead and profit, a reasonable overhead and profit will be determined based on what is typically charged by residential general contractors to unaffiliated land owners on projects of similar nature, in the same locale and during the same time frame, but in no event to exceed 15% of the physical loss or damage.
4. Payment Limitation – The payment will not exceed the amount "you" spend to repair or replace the damaged or destroyed property.
 5. Replacement cost valuation does not apply until the damaged or destroyed property is repaired or replaced. "You" may make a claim for actual cash value before repair or replacement takes place, and later for the replacement cost if "you" notify "us" of "your" intent within 180 days after the loss.

b. All Other Property –

Unless replacement cost is indicated in the "schedule of coverages", all other covered property will be based on the actual cash value, at the time of the loss (with a deduction for depreciation).

1. Overhead and profit are included in the valuation only if they are included in the building "limit" or reports of value as required by any reporting provisions of the policy.
 - a. Overhead and profit will be calculated by the percentage as outlined in the original contract but never more than 15% of the physical loss or damage.
 - b. In the event no contract is in place outlining overhead and profit, a reasonable overhead and profit will be determined based on what is typically charged by residential general contractors to unaffiliated land owners on projects of similar nature, in the same locale and during the same time frame, but in no event to exceed 15% of the physical loss or damage.

c. Pair or Set –

The value of a lost or damaged article that is part of a pair or set is based on a reasonable proportion of the value of the entire pair or set. The loss is not considered a total loss of the pair or set.

d. Loss to Parts –

The value of a lost or damaged part of an item that consist of several parts when it is complete is based on the value of only the lost or damaged part or the cost to repair or replace it.

WHAT MUST BE DONE IN THE CASE OF LOSS

a. Notice –

In case of a loss, "you" must:

1. Give "us" or "our" agent prompt notice including a description of the property involved ("we" may request written notice); and

2. Give notice to the police when the act that causes the loss is a crime.

b. You Must Protect Property –

"You" must take all reasonable steps to protect covered property at and after an insured loss to avoid further loss.

1. Payment of Reasonable Costs – "We" do pay the reasonable costs incurred by "you" for necessary repairs or emergency measures performed solely to protect covered property from further damage by a peril insured against if a peril insured against has already caused a loss to covered property. "You" must keep an accurate record of such costs. "Our" payment of reasonable costs does not increase the "limit".
2. We Do Not Pay – "We" do not pay for such repairs or emergency measures performed on property that has not been damaged by a peril insured against.

c. Proof of Loss –

"You" must send "us", within 60 days after "our" request, a signed, sworn proof of loss. This must include the following information:

1. The time, place, and circumstances of the loss;
2. Other policies of insurance that may cover the loss;
3. "Your" interest and the interests of all others in the property involved, including all mortgages and liens;
4. Changes in title of the covered property during the policy period; and
5. Estimates, specifications, inventories, and other reasonable information that "we" may require to settle the loss.

d. Examination –

"You" must submit to examination under oath in matters connected with the loss as often as "we" reasonably request and give "us" sworn statements of the answers. If more than one person is examined, "we" have the right to examine and receive statements separately and not in the presence of others.

e. Records –

"You" must produce records, including tax returns and bank microfilms of all canceled checks relating to value, loss, and expense and permit copies and extracts to be made of them as often as "we" reasonably request.

f. Damaged Property –

"You" must exhibit the damaged and undamaged property as often as "we" reasonably request and allow "us" to inspect or take samples of the property.

g. Volunteer Payments –

"You" must not, except at "your" own expense, voluntarily make any payments, assume any obligations, pay or offer any rewards, or incur any other expenses except as respects protecting property from further damage.

h. Abandonment –

"You" may not abandon the property to "us" without "our" written consent.

i. Cooperation –

"You" must cooperate with "us" in performing all acts required by this policy.

HOW MUCH WE PAY

a. Insurable Interest –

"We" do not cover more than "your" insurable interest in any property plus any claims preparation expenses incurred by "you". If there are reporting provisions to this policy, in no event will "we" pay more than the amounts in any required reports of value as required by this policy.

b. Deductible –

"We" pay only that part of "your" loss over the deductible amount indicated on the "schedule of coverages" in any one occurrence.

c. Loss Settlement Terms –

Subject to paragraphs 1., 2., 4., 5. and 6. under How Much We Pay, "we" pay the lesser of:

1. The amount determined under Valuation;
2. The cost to repair, replace, or rebuild the property with material of like kind and quality to the extent practicable; or
3. The "limit" that applies to the covered property.

d. Catastrophe Limit –

The most "we" pay in any one occurrence is the Catastrophe Limit indicated on the "schedule of coverages" regardless if an occurrence or loss involves:

1. One or more "buildings or structures";
2. One or more "jobsites";
3. One or more coverages described under Covered Property; or
4. Any combination of "buildings or structures", "jobsites", described coverages, or coverages described under Coverage Extensions or Supplemental Coverages.

e. Insurance Under More Than One Coverage –

If more than one coverage under this policy insures the same loss, the more specific coverage for the covered property and corresponding “limits” of insurance involved in the loss will be the only coverage and limits of insurance to be applied to a covered loss. There is no intent that coverage for the same property insured will be covered under more than one coverage part of this policy or that there will be a stacking of limits. In no event will “we” pay more than the actual claim, loss, or damage sustained.

f. Insurance Under More Than One Policy –

1. Proportional Share – “You” may have another policy subject to the same “terms” as this policy. If “you” do, “we” will pay “our” share of the covered loss. “Our” share is the proportion that the applicable “limit” under this policy bears to the “limit” of all policies covering on the same basis.
2. Excess Amount – If there is another policy covering the same loss, other than that described above, “we” pay only for the amount of covered loss in excess of the amount due from that other policy, whether “you” can collect on it or not. But “we” do not pay more than the applicable “limit”.

LOSS PAYMENT

a. Loss Payment Options –

1. In the event of loss covered by this coverage form, “we” have the following options:
 - a. Pay the value of the lost or damaged property;
 - b. Pay the cost of repairing or replacing the lost or damaged property;
 - c. Rebuild, repair, or replace the property with other property of equivalent kind and quality, to the extent practicable, within a reasonable time; or
 - d. Take all or any part of the property at the agreed or appraised value.
2. Notice of Our Intent to Rebuild, Repair, Or Replace – “We” must give “you” notice of “our” intent to rebuild, repair, or replace within 30 days after receipt of a duly executed proof of loss.

b. Your Losses –

1. Adjustment and Payment of Loss – “We” adjust all losses with “you”. Payment will be made to “you” unless another loss payee is named in the policy.
2. Conditions for Payment of Loss – An insured loss will be payable 30 days after:
 - a. A satisfactory proof of loss is received; and
 - b. The amount of the loss has been established either by written agreement with “you” or the filing of an appraisal award with “us”.

c. Property of Others –

1. Adjustment and Payment of Loss to Property of Others – Losses to property of others may be adjusted with and paid to:

risksmith Insurance Services – Premier Homebuilders Coverage Form

- a. "You" on behalf of the owner; or
 - b. The owner.
2. We Do Not Have to Pay You if We Pay the Owner – If "we" pay the owner, "we" do not have to pay "you". "We" may also choose to defend any suits brought by the owners at "our" expense.

DEFINITIONS

a. The words "you" and "your" mean the persons or organizations named as the insured on the declarations.

b. The words "we", "us", and "our" mean the company providing this coverage.

c. "Buildings or structures" means:

1. Buildings;
2. Structures;
3. Materials and supplies that will become a permanent part of the buildings or the structures;
4. Foundations, excavations, grading filling, attachments, permanent fencing, and other permanent fixtures; and
5. Walkways, roadways, and other paved surfaces that are adjacent to or part of a building or structure.

"Buildings or structures" does not mean any property that existed prior to construction or installation.

d. "Buy-back" home means a home which was previously purchased by a customer but has been placed back into "your" inventory under a buy-back agreement.

e. "Completion date" means the later of the original scheduled completion date in the construction contract or the date the "building or structure" would have been completed if a loss had not occurred.

f. "Delay" means an interruption in the construction, erection, or fabrication of a "building or structure" caused by a covered peril that causes a delay in the completion date.

"Delay" does not mean an interruption in or extension of construction, erection, or fabrication caused by or resulting from a change order, or other action or decision that is independent of direct physical loss or damage caused by a covered peril for which payment is made under the Homebuilder's Coverage form whether occurring prior to or after such physical loss or damage.

g. "Delay period"

1. "Delay period" means the period of time the completion of the construction, erection, or fabrication of a covered "building or structure" is "delayed", beginning on the projected completion date at the time of the reported direct physical loss or damage, as a result of direct physical loss or damage caused by a covered peril to property covered under the Homebuilder's Coverage form.

This is not limited by the expiration date of the policy.

2. "Delay period" does not mean the increased time:

- a. Required to comply with the enforcement of any ordinance, law, or decree that:
 - i. Regulates the use or repair of any property; and
 - ii. Requires “you” or anyone else to test for, monitor, clean up, remove, contain, treat, detoxify, or neutralize or in any way respond to or assess the effects of “pollutants”; or
- b. Caused by or resulting from a change order, design change, or other action or decision that is independent of direct physical loss or damage caused by a covered peril for which payment is made under the Homebuilder’s Risk Coverage form to which this coverage part is endorsed, whether occurring prior to or after such physical loss or damage.

h. “Expenses and losses” means expenses and costs as described under Soft Costs Coverage and Rental Income Coverage.

Expenses, costs and loss of income only apply to the definition of “expenses and losses” described in the Additional coverage section for Soft Costs and Rental Income.

i. “Earth movement” means any movement or vibration of earth’s surface (other than “sinkhole collapse”) including but not limited to earthquake; landslide; mudflow; mudslide; subsidence, or sinking, rising, or shifting of earth.

j. “Fungus” means:

1. A fungus, including but not limited to mildew and mold;
2. A protist, including but not limited to algae and slime mold;
3. Wet rot and dry rot;
4. A bacterium; or
5. A chemical, matter, or compound produced or released by a fungus, a protist, wet rot, dry rot, or a bacterium, including but not limited to toxins, spores, fragments, and metabolites such as microbial volatile organic compounds.

k. “Home pending sale” means a completed “building or structure” which has been entered into a contract for sale or lease, pending the satisfaction of any contingencies or requirements for the purchaser to take possession.

l. “Jobsite” means any location, project, or work site where “you” are in the process of constructing, erecting, or installing a “building or structure”.

m. “Limit” means the amount of coverage that applies.

n. “Named Windstorm” means a tropical weather system with well-defined circulation and maximum sustained winds greater than 39mph that is named by the National Oceanic and Atmospheric Administration or any of its related organizations including, but not limited to, the National Weather Service and the National Hurricane Center.

o. “Pollutant” means:

1. Any solid, liquid, gaseous, thermal, or radioactive irritant or contaminant, including acids, alkalis, chemicals, fumes, smoke, soot, vapor, and waste; and
2. Electrical or magnetic emissions, whether visible or invisible, and sound emissions.

Waste includes materials to be recycled, reclaimed, or reconditioned.

p. "Schedule of coverages" means:

1. All pages labeled "schedule of coverages" or schedules that pertain to this coverage; and
2. Declarations or supplemental declarations that pertain to this coverage.

q. "Sinkhole collapse" means the sudden settlement or collapse of earth supporting the covered property into subterranean voids created by the action of "water" on limestone or similar rock formation.

r. "Specified perils" means aircraft; civil commotion; explosion; falling objects; fire; hail; leakage from fire extinguishing equipment; lightning; riot; "sinkhole collapse", smoke; sonic boom; vandalism; vehicles; "volcanic action"; "water" damage; weight of ice, snow, or sleet; and windstorm.

Falling objects does not include loss to:

1. Personal property in the open; or
2. The interior of "buildings or structures" or to personal property inside "buildings or structures" unless the exterior of the roofs or walls are first damaged by a falling object.

"Water" damage means the sudden or accidental discharge or leakage of "water" or steam as a direct result of breaking or cracking of a part of the system or appliance containing the "water" or steam.

s. "Terms" means all provisions, limitations, exclusions, conditions, and definitions that apply.

t. "Trade-in" property means a vacant and unoccupied completed dwelling owned by "you" that was taken in trade by "you" for credit on a new home constructed by "you".

u. "Unsold property" means a vacant and unoccupied completed dwelling owned by "you" that was previously insured by "us" as a "building or structure" in the course of construction or as a "Home Pending Sale".

v. "Valuable papers" means documents, manuscripts, or records that are inscribed, printed, or written. This includes, but is not limited to, abstracts, books, deeds, drawings, films, maps, or mortgages.

w. "Volcanic action" means airborne volcanic blast or airborne shock waves; ash, dust, or particulate matter, or lava flow.

Volcanic action does not include the cost to remove ash, dust, or particulate matter that does not cause direct physical loss to the covered property.

x. "Flood" – means:

1. Flood, surface water, waves, tidal water, or the overflow of a body of water all whether driven by wind or not. This includes spray that results from these whether driven by wind or not.

2. Ground water including water that backs up through a sewer or drain; water below the surface of the ground. This includes water that exerts pressure on or flows, seeps, or leaks through or into a building, sidewalk, driveway, foundation, swimming pool, or other structure.

y. "We" means the Insurance Company providing coverage under this policy as listed on the schedule of subscribing Insurers.

z. "You" means the First Named Insured and/or any additional Named Insureds listed on the policy.



U.S. TREASURY DEPARTMENT'S OFFICE OF FOREIGN ASSETS CONTROL ("OFAC") ADVISORY NOTICE TO POLICYHOLDERS

No coverage is provided by this Policyholder Notice nor can it be construed to replace any provisions of your policy. You should read your policy and review your Declarations page for complete information on the coverages you are provided.

This Notice provides information concerning possible impact on your insurance coverage due to directives issued by OFAC. **Please read this Notice carefully.**

The Office of Foreign Assets Control (OFAC) administers and enforces sanctions policy, based on Presidential declarations of "national emergency". OFAC has identified and listed numerous:

- Foreign agents;
- Front organizations;
- Terrorists;
- Terrorist organizations; and
- Narcotics traffickers;

as "Specially Designated Nationals and Blocked Persons". This list can be located on the United States Treasury's web site – <http://www.treas.gov/ofac>.

In accordance with OFAC regulations, if it is determined that you or any other insured, or any person or entity claiming the benefits of this insurance has violated U.S. sanctions law or is a Specially Designated National and Blocked Person, as identified by OFAC, this insurance will be considered a blocked or frozen contract and all provisions of this insurance are immediately subject to OFAC. When an insurance policy is considered to be such a blocked or frozen contract, no payments nor premium refunds may be made without authorization from OFAC. Other limitations on the premiums and payments also apply.

MICROORGANISM EXCLUSION (ABSOLUTE)

This Policy does not insure any loss, damage, claim, cost, expense or other sum directly or indirectly arising out of or relating to:

mold, mildew, fungus, spores or other microorganism of any type, nature, or description, including but not limited to any substance whose presence poses an actual or potential threat to human health.

This Exclusion applies regardless whether there is (i) any physical loss or damage to insured property; (ii) any insured peril or cause, whether or not contributing concurrently or in any sequence; (iii) any loss of use, occupancy, or functionality; or (iv) any action required, including but not limited to repair, replacement, removal, cleanup, abatement, disposal, relocation, or steps taken to address medical or legal concerns.

This Exclusion replaces and supersedes any provision in the Policy that provides insurance, in whole or in part, for these matters.

14/09/2005

LMA5018

Form approved by Lloyd's Market Association

Asbestos Endorsement

A. This Policy only insures asbestos physically incorporated in an insured building or structure, and then only that part of the asbestos which has been physically damaged during the period of insurance by one of these Listed Perils:

fire; explosion; lightning; windstorm; hail; direct impact of vehicle, aircraft or vessel; riot or civil commotion, vandalism or malicious mischief; or accidental discharge of fire protective equipment.

This coverage is subject to each of the following specific limitations:

1. The said building or structure must be insured under this Policy for damage by that Listed Peril.
2. The Listed Peril must be the immediate, sole cause of the damage of the asbestos.
3. The Assured must report to Underwriters the existence and cost of the damage as soon as practicable after the Listed Peril first damaged the asbestos. However, this Policy does not insure any such damage first reported to the Underwriters more than 12 (twelve) months after the expiration, or termination, of the period of insurance.
4. Insurance under this Policy in respect of asbestos shall not include any sum relating to:
 - (i) any faults in the design, manufacture or installation of the asbestos;
 - (ii) asbestos not physically damaged by the Listed Peril including any governmental or regulatory authority direction or request of whatsoever nature relating to undamaged asbestos.

B. Except as set forth in the foregoing Section A, this Policy does not insure asbestos or any sum relating thereto.

LMA 5019
14/09/2005

Form approved by Lloyd's Market Association

SEVERAL LIABILITY CLAUSE

PLEASE NOTE - This notice contains important information. PLEASE READ CAREFULLY

The liability of an insurer under this contract is several and not joint with other insurers party to this contract. An insurer is liable only for the proportion of liability it has underwritten. An insurer is not jointly liable for the proportion of liability underwritten by any other insurer. Nor is an insurer otherwise responsible for any liability of any other insurer that may underwrite this contract.

The proportion of liability under this contract underwritten by an insurer (or, in the case of a Lloyd's syndicate, the total of the proportions underwritten by all the members of the syndicate taken together) is shown in this contract.

In the case of a Lloyd's syndicate, each member of the syndicate (rather than the syndicate itself) is an insurer. Each member has underwritten a proportion of the total shown for the syndicate (that total itself being the total of the proportions underwritten by all the members of the syndicate taken together). The liability of each member of the syndicate is several and not joint with other members. A member is liable only for that member's proportion. A member is not jointly liable for any other member's proportion. Nor is any member otherwise responsible for any liability of any other insurer that may underwrite this contract. The business address of each member is Lloyd's, One Lime Street, London EC3M 7HA. The identity of each member of a Lloyd's syndicate and their respective proportion may be obtained by writing to Market Services, Lloyd's, at the above address.

Although reference is made at various points in this clause to "this contract" in the singular, where the circumstances so require this should be read as a reference to contracts in the plural.

LMA5096 (Combined Certificate)

7 March 2008

COMMUNICABLE DISEASE ENDORSEMENT

(For use on property policies)

1. This policy, subject to all applicable terms, conditions and exclusions, covers losses attributable to direct physical loss or physical damage occurring during the period of insurance. Consequently and notwithstanding any other provision of this policy to the contrary, this policy does not insure any loss, damage, claim, cost, expense or other sum, directly or indirectly arising out of, attributable to, or occurring concurrently or in any sequence with a Communicable Disease or the fear or threat (whether actual or perceived) of a Communicable Disease.
2. For the purposes of this endorsement, loss, damage, claim, cost, expense or other sum, includes, but is not limited to, any cost to clean-up, detoxify, remove, monitor or test:
 - 2.1. for a Communicable Disease, or
 - 2.2. any property insured hereunder that is affected by such Communicable Disease.
3. As used herein, a Communicable Disease means any disease which can be transmitted by means of any substance or agent from any organism to another organism where:
 - 3.1. the substance or agent includes, but is not limited to, a virus, bacterium, parasite or other organism or any variation thereof, whether deemed living or not, and
 - 3.2. the method of transmission, whether direct or indirect, includes but is not limited to, airborne transmission, bodily fluid transmission, transmission from or to any surface or object, solid, liquid or gas or between organisms, and
 - 3.3. the disease, substance or agent can cause or threaten damage to human health or human welfare or can cause or threaten damage to, deterioration of, loss of value of, marketability of or loss of use of property insured hereunder.
4. This endorsement applies to all coverage extensions, additional coverages, exceptions to any exclusion and other coverage grant(s).

All other terms, conditions and exclusions of the policy remain the same.

LMA5393

25 March 2020

PROPERTY CYBER AND DATA EXCLUSION

- 1 Notwithstanding any provision to the contrary within this Policy or any endorsement thereto this Policy excludes any:
 - 1.1 Cyber Loss;
 - 1.2 loss, damage, liability, claim, cost, expense of whatsoever nature directly or indirectly caused by, contributed to by, resulting from, arising out of or in connection with any loss of use, reduction in functionality, repair, replacement, restoration or reproduction of any Data, including any amount pertaining to the value of such Data;regardless of any other cause or event contributing concurrently or in any other sequence thereto.
- 2 In the event any portion of this endorsement is found to be invalid or unenforceable, the remainder shall remain in full force and effect.
- 3 This endorsement supersedes and, if in conflict with any other wording in the Policy or any endorsement thereto having a bearing on Cyber Loss or Data, replaces that wording.

Definitions

- 4 Cyber Loss means any loss, damage, liability, claim, cost or expense of whatsoever nature directly or indirectly caused by, contributed to by, resulting from, arising out of or in connection with any Cyber Act or Cyber Incident including, but not limited to, any action taken in controlling, preventing, suppressing or remediating any Cyber Act or Cyber Incident.
- 5 Cyber Act means an unauthorised, malicious or criminal act or series of related unauthorised, malicious or criminal acts, regardless of time and place, or the threat or hoax thereof involving access to, processing of, use of or operation of any Computer System.
- 6 Cyber Incident means:
 - 6.1 any error or omission or series of related errors or omissions involving access to, processing of, use of or operation of any Computer System; or
 - 6.2 any partial or total unavailability or failure or series of related partial or total unavailability or failures to access, process, use or operate any Computer System.
- 7 Computer System means:
 - 7.1 any computer, hardware, software, communications system, electronic device (including, but not limited to, smart phone, laptop, tablet, wearable device), server, cloud or microcontroller including any similar system or any configuration of the aforementioned and including any associated input, output, data storage device, networking equipment or back up facility,owned or operated by the Insured or any other party.
- 8 Data means information, facts, concepts, code or any other information of any kind that is recorded or transmitted in a form to be used, accessed, processed, transmitted or stored by a Computer System.

USA HURRICANE MINIMUM EARNED PREMIUM ENDORSEMENT

The following terms and conditions will apply to this policy where the peril of windstorm is included:

1. If you cancel this policy, remove a location or reduce the amount of Insurance on a location that is within 75 miles of the Atlantic Ocean and/or the Gulf of Mexico in the states of North Carolina thru to Texas inclusive, and coverage existed any time during the period of June 1st to November 1st, the amount of premium we will return will be the Unearned Premium for the location. The Unearned Premium is the annual premium for the policy (or for the location removed or coverage reduced, as applicable) multiplied by the Unearned Factor noted below. The location premium is the 100% annual rate multiplied by the location value as scheduled in the most current Statement of Values on file with Underwriters.

1 year Policy

Days Policy In Force	Unearned Factor
001 to 180	25%
181 to 210	20%
211 to 240	15%
241 to 270	10%
271 to 300	5.0%
301 to 330	2.5%
331 to 365	0.0%

2. The provisions of this endorsement replace any short rate provisions stipulated in this policy for all locations that are within 75 miles of the Atlantic Ocean and/or the Gulf of Mexico in the states of North Carolina thru to Texas inclusive, and coverage existed any time during the period of June 1st to November 1st.

ALL OTHER TERMS AND CONDITIONS REMAIN UNALTERED

LLOYD'S PRIVACY POLICY STATEMENT

UNDERWRITERS AT LLOYD'S, LONDON

The Certain Underwriters at Lloyd's, London want you to know how we protect the confidentiality of your non-public personal information. We want you to know how and why we use and disclose the information that we have about you. The following describes our policies and practices for securing the privacy of our current and former customers.

INFORMATION WE COLLECT

The non-public personal information that we collect about you includes, but is not limited to:
Information contained in applications or other forms that you submit to us, such as name, address, and social security number
Information about your transactions with our affiliates or other third-parties, such as balances and payment history
Information we receive from a consumer-reporting agency, such as credit-worthiness or credit history

INFORMATION WE DISCLOSE

We disclose the information that we have when it is necessary to provide our products and services. We may also disclose information when the law requires or permits us to do so.

CONFIDENTIALITY AND SECURITY

Only our employees and others who need the information to service your account have access to your personal information. We have measures in place to secure our paper files and computer systems.

RIGHT TO ACCESS OR CORRECT YOUR PERSONAL INFORMATION

You have a right to request access to or correction of your personal information that is in our possession.

CONTACTING US

If you have any questions about this privacy notice or would like to learn more about how we protect your privacy, please contact the agent or broker who handled this insurance. We can provide a more detailed statement of our privacy practices upon request.

06/03
LSW 1135B

U.S.A. & CANADA

LAND, WATER AND AIR EXCLUSION

Notwithstanding any provision to the contrary within the Policy of which this Endorsement forms part (or within any other Endorsement which forms part of this Policy), this Policy does not insure land (including but not limited to land on which the insured property is located), water or air, howsoever and wherever occurring, or any interest or right therein.

N.M.A. 2341 (24/11/88) Form approved by Lloyd's Underwriters' Non-Marine Association

ELECTRONIC DATE RECOGNITION EXCLUSION (EDRE)

This policy does not cover any loss, damage, cost, claim or expense, whether preventative, remedial or otherwise, directly or indirectly arising out of or relating to:

- a) the calculation, comparison, differentiation, sequencing or processing of data involving the date change to the year 2000, or any other date change, including leap year calculations, by any computer system, hardware, programme or software and/or microchip, integrated circuit or similar device in computer equipment or non-computer equipment, whether the property of the insured or not; or
- b) any change, alteration or modification involving the date change to the year 2000, or any other date change, including leap year calculations, to any such computer system, hardware, programme or software and/or microchip, integrated circuit or similar device in computer equipment or non-computer equipment, whether the property of the insured or not.

This clause applies regardless of any other cause or event that contributes concurrently or in any sequence to the loss, damage, cost, claim or expense.

EDRE NMA 2802 (17/12/1997)

WAR AND TERRORISM EXCLUSION ENDORSEMENT

Notwithstanding any provision to the contrary within this insurance or any endorsement thereto it is agreed that this insurance excludes loss, damage, cost or expense of whatsoever nature directly or indirectly caused by, resulting from or in connection with any of the following regardless of any other cause or event contributing concurrently or in any other sequence to the loss;

- (1) war, invasion, acts of foreign enemies, hostilities or warlike operations (whether war be declared or not), civil war, rebellion, revolution, insurrection, civil commotion assuming the proportions of or amounting to an uprising, military or usurped power; or
- (2) any act of terrorism.
For the purpose of this endorsement an act of terrorism means an act, including but not limited to the use of force or violence and/or the threat thereof, of any person or group(s) of persons, whether acting alone or on behalf of or in connection with any organisation(s) or government(s), committed for political, religious, ideological or similar purposes including the intention to influence any government and/or to put the public, or any section of the public, in fear.

This endorsement also excludes loss, damage, cost or expense of whatsoever nature directly or indirectly caused by, resulting from or in connection with any action taken in controlling, preventing, suppressing or in any way relating to (1) and/or (2) above.

If the Underwriters allege that by reason of this exclusion, any loss, damage, cost or expense is not covered by this insurance the burden of proving the contrary shall be upon the Assured.

In the event any portion of this endorsement is found to be invalid or unenforceable, the remainder shall remain in full force and effect.

NMA2918
08/10/2001



CLAIMS NOTIFICATION

Below will outline the steps and contact information you should follow should you be faced with a loss to your property under this insurance contract.

- Promptly report your loss
- Protect your property from further damage or loss
- Keep accurate records
- Notify authorities if applicable (Theft or Vandalism)

Dedicated Email Claim Requests:

Homebuilders Risk - RisksmithHB@us.crawco.com

CONTACT AND REPORTING INFORMATION:

Jeffery Hart
Crawford U.S. Delegated Claims Team
Email: Jeffrey_hart@us.crawco.com
1605 N. Cedar Crest Blvd, Suite 407
Allentown, PA 18104 Cell: 484-643-2955
Direct: 866-846-0698 x 2013760



Alternate Contacts:

Crawford Executive General Adjuster:

Adrian Cantu, AIC AINS
Crawford Global Technical Services Email:
Adrian.Cantu@us.crawco.com Cell: 405-845-2786

Tertiary Contacts:

Homebuilders:

John Hoey, AVP (Chicago, IL)
847.730.787
john.hoey@risksmithuw.com

April King, AVP (Atlanta, GA)
770.548.4853
april.king@risksmithuw.com

Chadd Folkes, President (Chicago, IL)
773.850.9796
chadd.folkes@risksmithuw.com



COMPLAINT NOTIFICATION:

All inquiries or complaints by the Insured must be referred in the first instance to Risksmith Insurance Services whose name and address are provided on the front of this document.

The definition of a complaint is any written communication where there is an expression of dissatisfaction with an insurance product or service.

Complaints should be referred to:

Compliance Officer
Risksmith Insurance Services
1440 Dutch Valley Place NE Suite 1100
Atlanta GA 30324
complaints@risksmithuw.com
1-(727) 601-5900

Risksmith Insurance Services LLC are committed to handling all customers complaints received promptly, fairly and in line with regulatory guidelines.

In the event that you remain dissatisfied with the way your complaint has been handled, you may refer the matter to the Complaints team at one or more of the carriers listed below. Please refer to the **rsCS Carrier Support Page** in this policy which lists all carriers participating on this policy.

Complaints in respect of Munich Re Specialty Group Insurance Services, Inc.

All inquiries or complaints by the Insured must be referred in the first instance to Roanoke Insurance Group whose name and address are provided on the front of this document. Complaints should be referred to the Compliance Officer, Munich Re Specialty Group Insurances, Inc. 1501 E. Woodfield Road, Suite 400W, Schaumburg, IL 60173-4903.

Complaints in respect of Accelerant Specialty Insurance Company

Complaints should be referred to Att: US Complaints Accelerant Specialty Insurance Company 400 Northbridge Road, Suite 800 Sandy Springs, GA or USComplaints@accelins.com.

Complaints in respect of Hadron Specialty Insurance Company

Complaints should be referred to the attention of Hadron Specialty Insurance Company 12600 Deerfield Pkwy., Suite 100 Alpharetta, GA 30004, email: Legal@hadroninsurance.com or 1-888-831-4742

Complaints in respect of Palms Specialty Insurance Company, Inc or Palms Insurance Company, Limited

Complaints should be referred to the attention of the Chief Compliance Officer, Palms Insurance Company Limited, 700 Universe Blvd, Juno Beach, FL 33408, email: complaints@palms-insurance.com or 561-304-5532.



Complaints in respect of Chubb European Group SE

Complaints should be referred to the attention of the CHUBB at customerrelations@chubb.com

Complaints in respect of AXA/XL (Indian Harbor Insurance Co.)

Complaints should be referred to the attention of AXA XL 677 Washington Blvd. 10th Floor, Suite 1000, Stamford, CT 06901 1-800-688-1840 Email: claims.processor@axaxl.com

Complaints in respect of Sutton Specialty Insurance Company

Complaints should be referred to the attention of Complaints Sutton Specialty Insurance Company 110 E. Atlantic Ave., Suite 330, Delray, FL 33444, email compliance@suttonnational.com.

This insurance contract is with an insurer not licensed to transact insurance in this state and is issued and delivered as surplus line coverage under the Texas insurance statutes. The Texas Department of Insurance does not audit the finances or review the solvency of the surplus lines insurer providing this coverage, and the insurer is not a member of the property and casualty insurance guaranty association created under Chapter 462, Insurance Code. Chapter 225, Insurance Code, requires payment of a 4.85 percent tax on gross premium.

**TIER 1 & 2 WINDSTORM
COUNTIES**

Tier 1 Windstorm Counties

Alabama:	Baldwin, Mobile
Connecticut:	Fairfield, Middlesex, New Haven, New London
Delaware:	Kent, New Castle, Sussex
District of Columbia:	Entire District
Florida:	Entire State
Georgia:	Bryan, Camden, Chatham, Glynn, Liberty, McIntosh
Hawai'i:	Entire State
Louisiana:	Entire State
Massachusetts:	Barnstable, Bristol, Dukes, Essex, Nantucket, Norfolk, Plymouth, Suffolk
Maryland:	Worcester, Calvert, St. Mary's, Dorchester, Wicomico, Somerset
Mississippi:	George, Hancock, Harrison, Jackson
North Carolina:	Beaufort, Bertie, Brunswick, Camden, Carteret, Chowan, Craven, Currituck, Dare, Hyde, Jones, New Hanover, Onslow, Pamlico, Pasquotank, Pender, Perquimans, Tyrell, Washington
New Hampshire	Rockingham
New Jersey	Atlantic, Burlington, Camden, Cape May, Cumberland, Essex, Gloucester, Hudson, Middlesex, Monmouth, Ocean, Salem, Union
New York	Bronx, Kings, Nassau, New York, Queens, Richmond, Suffolk, Westchester
Rhode Island	Bristol, Kent, Newport, Washington
South Carolina:	Beaufort, Berkeley, Charleston, Colleton, Georgetown, Jasper, Horry
Texas:	Aransas, Brazoria, Calhoun, Cameron, Chambers, Galveston, Harris, Jackson, Jefferson, Kennedy, Kleberg, Matagorda, Nueces, Orange, Refugio, San Patricio, Willacy
Virginia:	Accomack, Gloucester, Isle of Wight, James City, Lancaster, Mathews, Middlesex, Northampton, Northumberland, Southampton, Surry, York and including the independent cities of Chesapeake, Hampton, Newport News, Norfolk, Poquoson, Portsmouth, Suffolk, Virginia Beach, Williamsburg.
Puerto Rico:	Entire Commonwealth
US Virgin Islands	All islands.

Tier 2 Windstorm Counties

Alabama:	Clarke, Covington, Escambia, Geneva, Houston, Monroe, Washington
Georgia:	Appling, Brantley, Bulloch, Charlton, Effingham, Evans, Long, Pierce, Tattnall, Wayne
Mississippi:	Amite, Forrest, Greene, Lamar, Marion, Perry, Pike, Stone, Walthall, Wilkinson
North Carolina:	Bladen, Columbus, Duplin, Gates, Greene, Halifax, Hertford, Lenoir, Martin, Pitt, Robeson, Sampson, Wayne
South Carolina:	Allendale, Bamberg, Clarendon, Dillon, Dorchester, Florence, Hampton, Marion, Williamsburg
Texas:	Austin, Bee, Brooks, Colorado, DeWitt, Duval, Fort Bend, Goliad, Grimes, Hardin, Hidalgo, Jasper, Jim Hogg, Jim Wells, Lavaca, Liberty, Live Oak, McMullen, Montgomery, Newton, Polk, San Jacinto, Starr, Tyler, Victoria, Walker, Waller, Wharton
Virginia:	Caroline, Charles City, Essex, Henrico, King and Queen, King George, King William, New Kent, Prince George, Richmond, Sussex, Westmoreland

**U.S. Terrorism Risk Insurance Act of 2002 as amended
Not Purchased Clause**

This Clause is issued in accordance with the terms and conditions of the "U.S. Terrorism Risk Insurance Act of 2002" as amended as summarized in the disclosure notice.

It is hereby noted that the Underwriters have made available coverage for "insured losses" directly resulting from an "act of terrorism" as defined in the "U.S. Terrorism Risk Insurance Act of 2002", as amended ("TRIA") and the Insured has declined or not confirmed to purchase this coverage.

This Insurance therefore affords no coverage for losses directly resulting from any "act of terrorism" as defined in TRIA except to the extent, if any, otherwise provided by this policy.

All other terms, conditions, insured coverage and exclusions of this Insurance including applicable limits and deductibles remain unchanged and apply in full force and effect to the coverage provided by this Insurance.

LMA5390

09 January 2020

NOTICE TO POLICYHOLDERS

FRAUD NOTICE

Alabama	Any person who knowingly presents a false or fraudulent claim for payment of a loss or benefit or who knowingly presents false information in an application for insurance is guilty of a crime and may be subject to restitution fines or confinement in prison, or any combination thereof.
Arkansas	Any person who knowingly presents a false or fraudulent claim for payment of a loss or benefit or knowingly presents false information in an application for insurance is guilty of a crime and may be subject to fines and confinement in prison.
California	For your protection California law requires the following to appear on this form: Any person who knowingly presents false or fraudulent information to obtain or amend insurance coverage or to make a claim for the payment of a loss is guilty of a crime and may be subject to fines and confinement in state prison.
Colorado	It is unlawful to knowingly provide false, incomplete, or misleading facts or information to an insurance company for the purpose of defrauding or attempting to defraud the company. Penalties may include imprisonment, fines, denial of insurance, and civil damages. Any insurance company or agent of an insurance company who knowingly provides false, incomplete, or misleading facts or information to a policyholder or claimant for the purpose of defrauding or attempting to defraud the policyholder or claimant with regard to a settlement or award payable from insurance proceeds shall be reported to the Colorado Division of Insurance within the Department of Regulatory Agencies.
District of Columbia	WARNING: It is a crime to provide false or misleading information to an insurer for the purpose of defrauding the insurer or any other person. Penalties include imprisonment and/or fines. In addition, an insurer may deny insurance benefits if false information materially related to a claim was provided by the applicant.
Florida	Any person who knowingly and with intent to injure, defraud, or deceive any insurer files a statement of claim or an application containing any false, incomplete, or misleading information is guilty of a felony of the third degree.
Kansas	A "fraudulent insurance act" means an act committed by any person who, knowingly and with intent to defraud, presents, causes to be presented or prepares with knowledge or belief that it will be presented to or by an insurer, purported insurer, broker or any agent thereof, any written, electronic, electronic impulse, facsimile, magnetic, oral, or telephonic communication or statement as part of, or in support of, an application for the issuance of, or the rating of an insurance policy for personal or commercial insurance, or a claim for payment or other benefit pursuant to an insurance policy for commercial or personal insurance that such person knows to contain materially false information concerning any fact material thereto; or conceals, for the purpose of misleading, information concerning any fact material thereto.
Kentucky	Any person who knowingly and with intent to defraud any insurance company or other person files an application for insurance containing any materially false information or conceals, for the purpose of misleading, information concerning any fact material thereto commits a fraudulent insurance act, which is a crime.
Louisiana	Any person who knowingly presents a false or fraudulent claim for payment of a loss or benefit or knowingly presents false information in an application for insurance is guilty of a crime and may be subject to fines and confinement in prison.
Maine	It is a crime to knowingly provide false, incomplete or misleading information to an insurance company for the purpose of defrauding the company. Penalties may include imprisonment, fines, or denial of insurance benefits.
Maryland	Any person who knowingly or willfully presents a false or fraudulent claim for payment of a loss or benefit or who knowingly or willfully presents false information in an application for insurance is guilty of a crime and may be subject to fines and confinement in prison.
New Jersey	Any person who includes any false or misleading information on an application for an insurance policy is subject to criminal and civil penalties.

NOTICE TO POLICYHOLDERS

New Mexico	ANY PERSON WHO KNOWINGLY PRESENTS A FALSE OR FRAUDULENT CLAIM FOR PAYMENT OF A LOSS OR BENEFIT OR KNOWINGLY PRESENTS FALSE INFORMATION IN AN APPLICATION FOR INSURANCE IS GUILTY OF A CRIME AND MAY BE SUBJECT TO CIVIL FINES AND CRIMINAL PENALTIES.
New York	General: All applications for commercial insurance, other than automobile insurance: Any person who knowingly and with intent to defraud any insurance company or other person files an application for insurance or statement of claim containing any materially false information, or conceals for the purpose of misleading, information concerning any fact material thereto, commits a fraudulent insurance act, which is a crime, and shall also be subject to a civil penalty not to exceed five thousand dollars and the stated value of the claim for each such violation. All applications for automobile insurance and all claim forms: Any person who knowingly makes or knowingly assists, abets, solicits or conspires with another to make a false report of the theft, destruction, damage or conversion of any motor vehicle to a law enforcement agency, the department of motor vehicles or an insurance company, commits a fraudulent insurance act, which is a crime, and shall also be subject to a civil penalty not to exceed five thousand dollars and the value of the subject motor vehicle or stated claim for each violation. Fire: Any person who knowingly and with intent to defraud any insurance company or other person files an application for insurance containing any false information, or conceals for the purpose of misleading, information concerning any fact material thereto, commits a fraudulent insurance act, which is a crime. The proposed insured affirms that the foregoing information is true and agrees that these applications shall constitute a part of any policy issued whether attached or not and that any willful concealment or misrepresentation of a material fact or circumstances shall be grounds to rescind the insurance policy.
Ohio	Any person who, with intent to defraud or knowing that he is facilitating a fraud against an insurer, submits an application or files a claim containing a false or deceptive statement is guilty of insurance fraud.
Oklahoma	WARNING: Any person who knowingly, and with intent to injure, defraud or deceive any insurer, makes any claim for the proceeds of an insurance policy containing any false, incomplete or misleading information is guilty of a felony. WARNING: All Workers Compensation Insurance: Any person or entity who makes any material false statement or representation, who willfully and knowingly omits or conceals any material information, or who employs any device, scheme, or artifice, or who aids and abets any person for the purpose of: 1. obtaining any benefit or payment, 2. increasing any claim for benefit or payment, or 3. obtaining workers' compensation coverage under the Administrative Workers' Compensation Act, shall be guilty of a felony punishable pursuant to Section 1663 of Title 21 of the Oklahoma Statutes.

NOTICE TO POLICYHOLDERS

Pennsylvania	Any person who knowingly and with intent to defraud any insurance company or other person files an application for insurance or statement of claim containing any materially false information or conceals for the purpose of misleading, information concerning any fact material thereto commits a fraudulent insurance act, which is a crime and subjects such person to criminal and civil penalties. Automobile Insurance: Any person who knowingly and with intent to injure or defraud any insurer files an application or claim containing any false, incomplete or misleading information shall, upon conviction, be subject to imprisonment for up to seven years and the payment of a fine of up to \$15,000.
Puerto Rico	Any person who knowingly and with the intention of defrauding presents false information in an insurance application, or presents, helps, or causes the presentation of a fraudulent claim for the payment of a loss or any other benefit, or presents more than one claim for the same damage or loss, shall incur a felony and, upon conviction, shall be sanctioned for each violation by a fine of not less than five thousand dollars (\$5,000) and not more than ten thousand dollars (\$10,000), or a fixed term of imprisonment for three (3) years, or both penalties. Should aggravating circumstances [be] present, the penalty thus established may be increased to a maximum of five (5) years, if extenuating circumstances are present, it may be reduced to a minimum of two (2) years.
Rhode Island	Any person who knowingly presents a false or fraudulent claim for payment of a loss or benefit or knowingly presents false information in an application for insurance is guilty of a crime and may be subject to fines and confinement in prison.
Tennessee	It is a crime to knowingly provide false, incomplete or misleading information to an insurance company for the purpose of defrauding the company. Penalties include imprisonment, fines and denial of insurance benefits. Workers' Compensation: It is a crime to knowingly provide false, incomplete or misleading information to any party to a workers' compensation transaction for the purpose of committing fraud. Penalties include imprisonment, fines and denial of insurance benefits.
Utah	Workers' Compensation: Any person who knowingly presents false or fraudulent underwriting information, files or causes to be filed a false or fraudulent claim for disability compensation or medical benefits, or submits a false or fraudulent report or billing for health care fees or other professional services is guilty of a crime and may be subject to fines and confinement in state prison.
Virginia	It is a crime to knowingly provide false, incomplete or misleading information to an insurance company for the purpose of defrauding the company. Penalties include imprisonment, fines and denial of insurance benefits.
Washington	It is a crime to knowingly provide false, incomplete or misleading information to an insurance company for the purpose of defrauding the company. Penalties include imprisonment, fines and denial of insurance benefits.
West Virginia	Any person who knowingly presents a false or fraudulent claim for payment of a loss or benefit or knowingly presents false information in an application for insurance is guilty of a crime and may be subject to fines and confinement in prison.
All Other States	Any person who knowingly and willfully presents false information in an application for insurance may be guilty of insurance fraud and subject to fines and confinement in prison. (In Oregon, the aforementioned actions may constitute a fraudulent insurance act which may be a crime and may subject the person to penalties).

NOTICE TO POLICYHOLDERS

PRIVACY POLICY

The AXA XL insurance group (the “Companies”), believes personal information that we collect about our customers, potential customers, and proposed insureds (referred to collectively in this Privacy Policy as “customers”) must be treated with the highest degree of confidentiality. For this reason and in compliance with the Title V of the Gramm-Leach-Bliley Act (“GLBA”), we have developed a Privacy Policy that applies to all of our companies. For purposes of our Privacy Policy, the term “personal information” includes all information we obtain about a customer and maintain in a personally identifiable way. In order to assure the confidentiality of the personal information we collect and in order to comply with applicable laws, all individuals with access to personal information about our customers are required to follow this policy.

Our Privacy Promise

Your privacy and the confidentiality of your business records are important to us. Information and the analysis of information is essential to the business of insurance and critical to our ability to provide to you excellent, cost-effective service and products. We understand that gaining and keeping your trust depends upon the security and integrity of our records concerning you. Accordingly, we promise that:

1. We will follow strict standards of security and confidentiality to protect any information you share with us or information that we receive about you;
2. We will verify and exchange information regarding your credit and financial status only for the purposes of underwriting, policy administration, or risk management and only with reputable references and clearinghouse services;
3. We will not collect and use information about you and your business other than the minimum amount of information necessary to advise you about and deliver to you excellent service and products and to administer our business;
4. We will train our employees to handle information about you or your business in a secure and confidential manner and only permit employees authorized to use such information to have access to such information;
5. We will not disclose information about you or your business to any organization outside the AXA XL insurance group of Companies or to third party service providers unless we disclose to you our intent to do so or we are required to do so by law;
6. We will not disclose medical information about you, your employees, or any claimants under any policy of insurance, unless you provide us with written authorization to do so, or unless the disclosure is for any specific business exception provided in the law;
7. We will attempt, with your help, to keep our records regarding you and your business complete and accurate, and will advise you how and where to access your account information (unless prohibited by law), and will advise you how to correct errors or make changes to that information; and
8. We will audit and assess our operations, personnel and third party service providers to assure that your privacy is respected.

Collection and Sources of Information

We collect from a customer or potential customer only the personal information that is necessary for (a) determining eligibility for the product or service sought by the customer, (b) administering the product or service obtained, and (c) advising the customer about our products and services. The information we collect generally comes from the following sources:

- Submission – During the submission process, you provide us with information about you and your business, such as your name, address, phone number, e-mail address, and other types of personal identification information;
- Quotes – We collect information to enable us to determine your eligibility for the particular insurance product and to determine the cost of such insurance to you. The information we collect will vary with the type of insurance you seek;

NOTICE TO POLICYHOLDERS

- Transactions – We will maintain records of all transactions with us, our affiliates, and our third party service providers, including your insurance coverage selections, premiums, billing and payment information, claims history, and other information related to your account;
- Claims – If you obtain insurance from us, we will maintain records related to any claims that may be made under your policies. The investigation of a claim necessarily involves collection of a broad range of information about many issues, some of which does not directly involve you. We will share with you any facts that we collect about your claim unless we are prohibited by law from doing so. The process of claim investigation, evaluation, and settlement also involves, however, the collection of advice, opinions, and comments from many people, including attorneys and experts, to aid the claim specialist in determining how best to handle your claim. In order to protect the legal and transactional confidentiality and privileges associated with such opinions, comments and advice, we will not disclose this information to you; and
- Credit and Financial Reports – We may receive information about you and your business regarding your credit. We use this information to verify information you provide during the submission and quote processes and to help underwrite and provide to you the most accurate and cost-effective insurance quote we can provide.

Retention and Correction of Personal Information

We retain personal information only as long as required by our business practices and applicable law. If we become aware that an item of personal information may be materially inaccurate, we will make reasonable effort to re-verify its accuracy and correct any error as appropriate.

Storage of Personal Information

We have in place safeguards to protect data and paper files containing personal information.

Sharing/Disclosing of Personal Information

We maintain procedures to assure that we do not share personal information with an unaffiliated third party for marketing purposes unless such sharing is permitted by law. Personal information may be disclosed to an unaffiliated third party for necessary servicing of the product or service or for other normal business transactions as permitted by law.

We do not disclose personal information to an unaffiliated third party for servicing purposes or joint marketing purposes unless a contract containing a confidentiality/non-disclosure provision has been signed by us and the third party. Unless a consumer consents, we do not disclose “consumer credit report” type information obtained from an application or a credit report regarding a customer who applies for a financial product to any unaffiliated third party for the purpose of serving as a factor in establishing a consumer’s eligibility for credit, insurance or employment. “Consumer credit report type information” means such things as net worth, credit worthiness, lifestyle information (piloting, skydiving, etc.) solvency, etc. We also do not disclose to any unaffiliated third party a policy or account number for use in marketing. We may share with our affiliated companies information that relates to our experience and transactions with the customer.

Policy for Personal Information Relating to Nonpublic Personal Health Information

We do not disclose nonpublic personal health information about a customer unless an authorization is obtained from the customer whose nonpublic personal information is sought to be disclosed. However, an authorization shall not be prohibited, restricted or required for the disclosure of certain insurance functions, including, but not limited to, claims administration, claims adjustment and management, detection, investigation or reporting of actual or potential fraud, misrepresentation or criminal activity, underwriting, policy placement or issuance, loss control and/or auditing.

NOTICE TO POLICYHOLDERS

Access to Your Information

Our employees, employees of our affiliated companies, and third party service providers will have access to information we collect about you and your business as is necessary to effect transactions with you. We may also disclose information about you to the following categories of person or entities:

- Your independent insurance agent or broker;
- An independent claim adjuster or investigator, or an attorney or expert involved in the claim;
- Persons or organizations that conduct scientific studies, including actuaries and accountants;
- An insurance support organization;
- Another insurer if to prevent fraud or to properly underwrite a risk;
- A state insurance department or other governmental agency, if required by federal, state or local laws; or
- Any persons entitled to receive information as ordered by a summons, court order, search warrant, or subpoena.

Violation of the Privacy Policy

Any person violating the Privacy Policy will be subject to discipline, up to and including termination.

For more information or to address questions regarding this privacy statement, please contact your broker.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY

**THE FOLLOWING EXCLUSION IS SUBJECT TO THE PERCENTAGE OF
PARTICIPATION IN RESPECT TO INDIAN HARBOR INSURANCE
COMPANY.**

COMMUNICABLE DISEASE EXCLUSION ENDORSEMENT - LMA 5393 AXA XL AMENDED V2

1. Notwithstanding any other provision of this policy to the contrary, this policy does not insure any loss,

damage, claim, cost, expense, or other sum, directly or indirectly arising out of, attributable to, in any way connected with, or occurring concurrently or in any sequence with a Communicable Disease or the fear or threat (whether actual or perceived) of a **Communicable Disease**.
2. For the purposes of this endorsement, loss, damage, claim, cost, expense, or other sum, includes, but is not limited to, any cost to clean-up, detoxify, remove, monitor or test:
 - 2.1. for a **Communicable Disease**, or
 - 2.2. any property insured hereunder that is affected by such **Communicable Disease**.
3. With respect to this endorsement, the following definition is added:

Communicable Disease means any illness, sickness, disease, infection, condition, or disorder caused, in whole or in part, by any direct or indirect contact with or exposure to any virus, parasite, or bacteria or any disease-causing agent of any nature regardless of the method of transmission, contact or exposure.
4. This endorsement applies to all coverage extensions, additional coverages, exceptions to any exclusion and other coverage grant(s).

All other terms, conditions and exclusions of the policy remain the same.

PREMIER HOMEBUILDER'S COVERAGE

PREMIER HOMEBUILDER'S ENDORSEMENT

Water Damage Deductible Endorsement

The following deductible is hereby added to the policy:

Non- Flood Water Damage Deductible of \$150,000

DEFINITIONS:

"Non-Flood Water damage" applies per home and includes all water damage, except losses caused by or resulting from the perils of Flood or Named Windstorm.



PRODUCER is responsible for calculating, billing, collecting and remitting all Surplus Lines taxes and fees to appropriate State authority that may apply to this endorsement.

WIND/HAIL AND TORNADO DEDUCTIBLE ENDORSEMENT

Coverage for "Wind/Hail and Tornado" is included in the Company's per Occurrence Liability limit.

Deductible for "Wind/Hail and Tornado" is \$5,000 per home subject to a \$50,000 minimum

DEFINITIONS:

"Wind/Hail and Tornado" - An atmospheric disturbance accompanied by wind, including/but not limited to, any substance driven by wind (with or without precipitation), rain, hail, sleet, thunderstorm, tornado or any combination of the foregoing events and including any resulting flood, tidal or wave action and not defined in the PREMIER HOMEBUILDERS' COVERAGE FORM, under DEFINITIONS, "Named Windstorm."

